



Rising inflation sets stage for a rate hike ▶ P1



Cash, derivatives volumes sink in Q2 as oil, yields hurt ▶ P1

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Monday, October 5, 2026

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Think Ahead. Think Growth.

mint primer

Are electric cars with small engines the way forward?

BY AYAAN KARTIK

The government's decision to equate range-extended electric vehicles (REEVs) with electric vehicles (EVs) under the latest corporate average fuel efficiency (CAFE) norms for super credits has sparked debate over the technology's future in India. *Mint* takes a look.



Li Auto's L6 offers around 212km of electric-only range and a total range of more than 1,300km when the petrol engine is used to generate electricity.

1 What are range-extended EVs?
A REEV has two components: a large battery pack and a small internal combustion engine (ICE). Unlike a conventional hybrid vehicle, the engine cannot directly drive the wheels and is instead used as a generator to produce electricity when the battery charge runs low, increasing the vehicle's range. The vehicle is driven by an electric motor, with the battery providing most of its power and the engine acting as a backup source of electricity. However, since the engine burns fuel, REEVs still have tailpipe emissions and are not considered zero-emission vehicles.

REUTERS

2 How much more range can REEVs offer?
The range depends on the size of the battery and the fuel tank but on average these vehicles offer a substantially higher range than an EV. For example, China's Li Auto's L6 offers around 212km of electric-only range and a total range of more than 1,300km when the petrol engine is used to generate electricity. The Deepal S07 offers more than 200km of electric range and a total range of over 1,000km. The key advantage is that the vehicle can continue running on electricity even after the battery's charge is depleted, with the engine acting as a generator.



3 Why do automakers think they are needed?
EV penetration has been slower than carmakers originally anticipated, prompting them to find ways to curb range anxiety for these vehicles globally. A section of carmakers has also started to push for such cars in the Indian market. The chief executive of JSW Motors has welcomed the government's decision to incentivize REEVs in the CAFE norms.

4 Are they becoming popular globally?
Ford, Hyundai, Stellantis and Suzuki are among the companies globally that have announced work on the technology, which is now starting to gain mainstream attention. According to January 2026 projections by Trendforce, REEVs will reach 3 million units by 2030, doubling from 2025 levels. But to be sure, it is not a new technology, as Chinese carmakers such as Li One began producing vehicles with it back in 2019. Several other Chinese carmakers such as Leapmotor, Xpeng and Deepal have entered the segment.

5 Would REEVs be launched in India?
A section of the industry has lobbied the Centre to treat REEVs as equal to EVs, not only under the CAFE norms but also under the goods and services tax regime. There is no clarity on how these vehicles will be taxed. JSW has emerged as one of the front-runners, with its joint venture with SAIC Motor, JSW MG Motor India, unveiling a platform in August on which the firm can build REEVs. Hyundai and Maruti Suzuki will gain access to the technology from their parent firms. Mahindra & Mahindra is exploring the option.

QUICK EDIT

Electric bounce

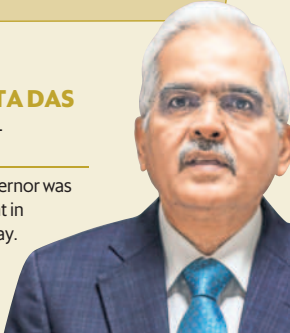
India's pick-up in electric vehicle (EV) offtake is heartening. Post-sale registrations in September hit 330,000 across EV segments, the fourth month in a row that these have stayed above 300,000 units. While electric two-wheelers have long been growing fast, electric cars are finally gaining ground too, hitting a new high of around 36,000 units, nearly twice their year-earlier level. Though EVs still make up a small share of India's overall automobile market, confidence in their reliability is rising. Range anxiety has eased as offerings expand across price points. Charging network density has also improved, although it remains unsatisfactory in many parts of India. Importantly, intensifying competition is likely to make EVs better and cheaper as we go along. Foreign EV brands are still rare on our streets. Global top-seller BYD is far behind homegrown players Tata and Mahindra, while Tesla has been slow off the block. High on-road prices are still a deterrent to large numbers, but these ought to fall as battery costs decline and supply chains strengthen. India's latest CAFE norms could give EVs a push too. What must not lag is the green transition of the country's power grid.

QUOTE OF THE DAY

While India's financial sector has evolved significantly, the next phase of growth will require strengthening of long-term finance and patient capital.

SHAKTIKANTA DAS
PM'S PRINCIPAL SECRETARY

The former RBI governor was speaking at an event in New Delhi on Sunday.



INSIDE

- Mark to Market | Little cheer for IT growth in Q2 >P4
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- Views | L'affaire Tata: a case of central bank overreach >P12
- Views | How India's electoral democracy must look back to move forward >P13

THE WEEK AHEAD

5-7 OCT RBI POLICY MEET
RBI's monetary policy panel meets; repo rate hike expected

5 OCT INDIA-CANADA DEAL TALKS
India, Canada resume talks in Delhi to fast-track trade negotiations

5-7 OCT SWISS PRESIDENT IN INDIA
Guy Parmelin visits India for trade, tech and India-EFTA pact

5-12 OCT NOBEL PRIZES
Announcement of the Nobel Prizes for 2026, starting with medicine

7 OCT GST COUNCIL MEETING
GST Council to consider business-friendly process reforms

8 OCT TCS Q2 RESULTS
Tata Consultancy Services to report earnings, focus likely AI demand

m COLUMNS



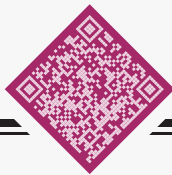
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THE MYSTERY OF WHO IS CONTROLLING THE TATA BOARDROOM >P12

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PLAIN FACTS



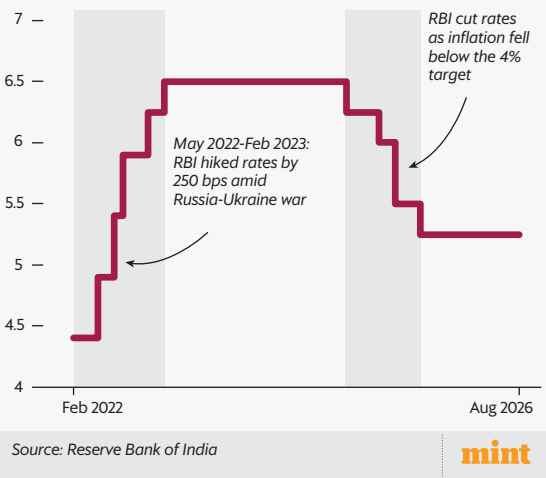
NUMBERS TO WATCH THIS WEEK

BY RUPANJAL CHAUHAN & ANJISHNU DAS

Every Monday, *Mint's Plain Facts* section highlights key data releases and announcements to watch in the week ahead. Over the next few days, the Reserve Bank of India's (RBI) rate decision, Tata Consultancy Services Ltd's (TCS) quarterly results, US trade data, Nobel Prize announcements and World Mental Health Day will be in focus. The RBI is expected to raise the repo rate, its first increase since February 2023, as higher energy prices and the West Asia war revive inflationary pressures. TCS will kick off the earnings season for large Indian IT firms, while the US will release trade data amid a widening deficit. Nobel week will bring announcements across categories, with research on GLP-1 therapies among the areas drawing attention.

RBI may raise interest rate for the first time since 2023 amid rising price pressures

Interest rate (in %) trajectory in India



POLICY PIVOT

THE RBI is widely expected to raise the repo rate by 25 basis points to 5.50% on 7 October, its first hike since February 2023. This would mark a reversal from the August meeting, when the MPC held the rate at 5.25% and retained its neutral stance.

Since then, higher crude prices have added to inflation risks, with retail inflation rising to 4.82% in August from 4.45% in July. At the same time, a higher-than-expected GDP growth of 7.8% in April-June has reduced the case for supporting demand through lower rates.

The US Federal Reserve's rate hikes have also added to the case for tighter policy in India by increasing the risk of capital outflows and pressure on the rupee if Indian rates fall behind.

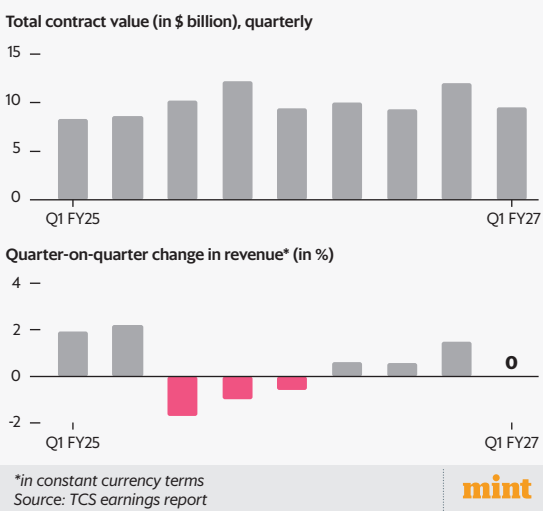
Most economists expect another 25-basis-point hike in December, taking the repo rate to 5.75% by year-end. Barclays expects two such hikes, saying upward revisions to growth and inflation forecasts "offer a solid backdrop to commence a monetary tightening cycle".

TCS Q2

TATA CONSULTANCY Services will report its September-quarter (Q2) results on 8 October, kicking off the earnings season for India's large IT firms. The results come as the sector faces weak client spending and pressure from artificial intelligence (AI)-led productivity gains. TCS's Q1 revenue growth was only 0.04% sequentially in constant-currency terms, even as its \$9.5 billion total contract value included an \$800 million AI-led deal with SKF. That followed \$12 billion in total contract value (TCV) in the March quarter, among its highest quarterly levels. The disconnect between large deal wins and modest revenue growth will be closely watched by investors, particularly after the Nifty IT index fell 11% in September.

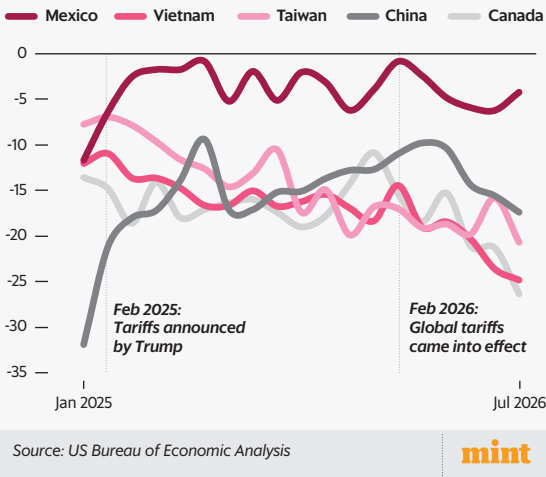
TCS is also undergoing a broader reorganization, having created five new business groups in July as it seeks to adapt its operations to AI-driven changes in client demand. Brokerages expect another muted quarter for large IT firms, making management's outlook a key focus.

Large deal wins for TCS are yet to translate into stronger revenue growth



US trade deficit with China narrows but those with other major partners rise

US trade balance with top trading partners (in \$ billion), monthly



TRADE WATCH

THE US trade data, due on Tuesday, will provide the full picture for the month of August after advance data showed the goods deficit widening 11.5% to \$132.6 billion. The advance report, released on 30 September, is an early estimate covering goods trade; the release this week will cover goods and services both and provide detailed bilateral trade data too. The country-wise numbers will be key to watch, as the US trade deficit has narrowed sharply with China but widened with several other major trade partners. Recent data shows deficits with Mexico, Vietnam and Taiwan has been growing substantially. Mexico, meanwhile, has benefited from its integration with US manufacturing supply chains and rising exports of computers and data-centre servers. The upcoming data will be closely watched as the US recalibrates tariffs. In July, it imposed 10-12.5% duties on goods from 60 economies under new Section 301 measures. Last week, the US and China agreed to reduce tariffs on about \$30 billion of goods each, excluding semiconductors.

NOBEL BUZZ

NOBEL PRIZE 2026 week kicks off on Monday with the medicine award, setting off a week of announcements that will draw attention to some of the year's most consequential research and ideas.

Speculation is already building around possible winners, with research on GLP-1 therapies for diabetes and obesity, new gene-editing methods, quantum electronics and optical imaging among the areas attracting attention. In economics, work on monetary policy and digital markets is also in the conversation.

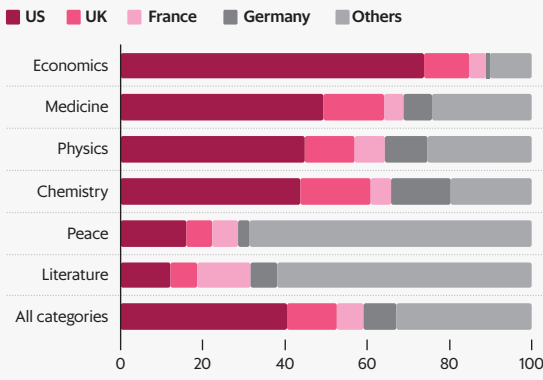
The Nobel committees, however, keep nominations under wraps, leaving only informed speculation about who could make the cut.

An analysis of the winners data shows nearly 41% of all Nobel laureates since 1901 have been from the US, although its dominance varies sharply across categories.

American recipients account for 73.7% of economics prizes, 49.4% of medicine, 44.8% of physics and 43.7% of chemistry.

US leads Nobel laureate count, followed by UK, Germany and France

Share of Nobel Prize winners by nationality (in %), 1901 to 2025

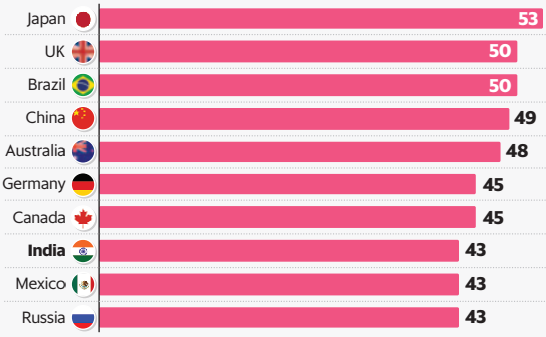


Including winners who hold multiple nationalities. Winners from erstwhile West Germany included under Germany.

Source: Nobel Prize, Mint calculations

Mental health concerns are more widespread among young adults globally

Share of young adults reporting distress or struggling with mental health* (in %), top 10 G20 countries



*includes people in age group of 18-34 years. Based on a global survey of over 1 million people, including 76,189 respondents aged 18-34 across G20 countries; 29,594 respondents in this age group were from India.

Source: Global Mind Health in 2025 report, Sapient Labs

MENTAL HEALTH

WORLD MENTAL Health Day will be observed on 10 October, drawing attention to mental health as a growing concern, particularly among young people.

Sapient Labs' 2025 global survey of more than 1 million people across 89 countries found that 41% of those aged 18-34 were distressed or struggling with their mental health, compared with 12% of those aged 55 and above.

India shows a similar age gap. Among Indians aged 18-34 years, 43% reported being distressed or struggling, compared with 12% of those aged 55 and above. Their Mental Health Quotient (MHQ) scores were 33 and 96, respectively. India ranked eighth among G20 countries and 18th among 89 countries on the share of 18-34-year-olds reporting distress or struggling. Its ranking on the MHQ score for this age group fell 10 places, from 51st in 2024 to 61st in 2025.

To mark this day, the health and family welfare ministry will release the National Mental Health Survey report, nine years after the first survey came in 2015-16.

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STRAIGHT
FORWARD
SHASHI SHEKHARRespond to this column at
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PIGS FOR AVIATION
AUTHORITIES?

It was 24 March 2015. Germanwings Airbus Flight 9525 departed from Barcelona, Spain, the world's soccer capital. It was carrying 144 passengers and six crew members. Thirty minutes later, flying over the snow-capped French Alps, everything looked fine. The flight was cruising at its usual altitude when the plane nosedived, and before the shocked passengers could understand anything, the huge Airbus crashed into a peak. All 150 on board died a horrific death.

The aviation world went into a tizzy. An investigation was launched immediately. What French Bureau of Enquiry and Analysis for Civil Aviation Safety (BEA) investigators found was chilling. According to their report, the 27-year-old co-pilot Andreas Lubitz crashed the plane deliberately. He had been suffering from depression. This was why, when the captain went to the washroom during the flight, he bolted the cockpit door from the inside. Then he took control of the plane and turned its direction downwards and accelerated. Cockpit voice recorder suggested the captain had tried hard to open the cockpit door but failed. His efforts went in vain, resulting in the terrible tragedy.

Those unaware should know that after the 9/11 terror attack on Twin Towers in New York in 2001, cockpit doors were reconfigured so that they couldn't be opened from the outside.

After the incident, Indian and global aviation authorities mandated that two people be present in the cockpit at all times.

Last year, Air India's massive Boeing 787 Dreamliner crashed moments after it took off from Ahmedabad airport, killing 260 people. Initial investigations revealed that the fuel switches were shut. Aircraft manufacturer Boeing conducted its own probe and gave the plane a clean chit. It didn't name anyone but the indication was clear. Either the pilot was responsible for the crash or it was a sabotage.

Boeing investigates crashes involving its aircraft around the world and, more often than not, finds no fault with its own product. This tendency is not unique to Boeing; multinational companies, from Boeing to Union Carbide, have often displayed the same instinct.

It's clear that new effective norms for fliers and pilots can't be ignored any longer

After the Ahmedabad crash, debate raged over the critical switch design, pilots' regular training and mandatory mental health checks. But some lessons faded from collective memory. Flight FZ1073 from Dubai to Tel Aviv is a glaring reminder of that lapse.

It is alleged that the Omani pilot attacked and grievously wounded Indian pilot Smit Machchhar with an axe. Showing exemplary courage, Machchhar not only tried to restrain the attacker but also managed to open the cockpit door. Where did the protocols put in place after the 2015 incident disappear? Why weren't pilot antecedents checked? Is this what global airlines and their regulators have learnt after losing hundreds of people from the French Alps to Ahmedabad?

It is heartening that Machchhar is receiving global recognition. Israel wants to confer its highest honour on him, while there have also been calls in India for him to be awarded the Ashoka Chakra. A stoic hero, what he thought of his act became clear in a phone conversation with Prime Minister Narendra Modi, when he said he was determined not to let a single passenger die.

It's clear that the blessings and good wishes of all the 174 passengers on flight FZ1073 will remain with him for life.

Omani authorities have identified the attacker as their citizen. Details of his birth, education, his friends circle and the motive for such an act are not clear. However, a US daily has claimed that the attacker's name is Hammam Al Hammami and he was banned in Oman for his extremist views. Is it a coincidence that Germanwings pilot Lubitz was also able to hide his depression and no-fly recommendations from the authorities? A repeat by Hammami shows that the aviation authorities are beset by outdated thinking in the age of modern communications.

Are fliers guinea pigs for aviation authorities? How long can we keep flying on wings and a prayer? This incident has once again proved that the threat to planes is present in cockpits, too. Not only planes, helicopters with their payload of tonnes of fuel can become a deadly weapon over densely populated areas. 9/11 is its biggest example. It's clear that new effective norms for fliers and pilots can't be ignored any longer. We also need a serious global discourse on the spread of hate-mongering, which is increasingly afflicting even the educated elite. The Omani pilot is the latest example.

Shashi Shekhar is editor-in-chief, Hindustan. Views are personal.

'Insurance commission cap delay could fuel mis-selling'

Irdai member Swaminathan Iyer says measures are aimed at enhancing value to policyholders

Harsh Kumar
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NEW DELHI

India's apex insurance regulator is not in favour of a long delay in implementing the proposed commission caps for insurance distributors, as the measures are aimed at enhancing value to policyholders and reducing mis-selling, said Swaminathan Iyer, member (life), Insurance Regulatory and Development Authority of India (Irdai).

Iyer, in an emailed interview, also cautioned that a long delay or phased implementation could create an unintended tendency among distributors to push sales before the lower commission cap takes effect.

"A long delay or phased implementation would not serve the intended purpose besides creating unintended consequences like the tendency to push sales before the next lower cap comes in; this itself could lead to mis-selling," he said.

The regulator has identified three main elements to address mis-selling—rationalized first-year commissions, a focus on renewal commissions, and control on compulsory bundling.

Iyer said capping the first-year payout removes the incentive to make a sale that gets the highest commission, whether or not it suits the customer. A focus on renewal commissions, mean-



Swaminathan Iyer, member (life), Irdai, says affordability must go hand in hand with product quality and excellent after-sales service.

while, will encourage distributor behaviour to sell products in which the customer remains persistent throughout the entire life cycle of the policy.

India's \$156 billion life insurance market accounts for around 71% of the total insurance sector.

The Irdai consultation paper also proposes to prohibit banks and non-banking financial companies from compulsorily bundling insurance with loans and other financial products.

Where insurance is offered with a loan, customers must see the interest rate with and without insurance and remain free to choose another insurer, Iyer said.

Compliance would also be strengthened, with cost audits becoming mandatory for all insurers and insurance distribution entities (IDEs) with insurance-related revenue exceeding ₹100 crore. Payments routed outside the commission head will count as commission, while Irdai will closely monitor related-party transactions, whether or not they involve a distribution arrangement.

The proposed reforms are intended to recalibrate the economics of insurance distribution, focusing on improving value for policyholders, operational efficiency, competitive fairness, deeper penetration, better

affordability and sustainable sector growth, Iyer said.

Lower distribution costs should show up in lower premiums, or a more moderate rate of premium increase; better returns on savings products; and better stakeholder returns. However, Iyer said that every reduction in distribution costs will not mechanically translate into an equal reduction in premiums.

"Our larger objective is overall value to policyholder, of which price is one component," he said. Affordability, he added, must go hand in hand with product quality and excellent after-sales service, including claims and grievance handling.

The framework applies uniformly, based on the principle of "same structure, same function, same norms", Iyer said. The difference in commissions depends on whether the distributor operates in a closed or open architecture.

Insurance distribution persons (IDPs) selling for a single insurer come under closed architecture, while IDEs, which may distribute for several insurers, are under open architecture. Iyer said the effort of sale is lower for someone in open architecture, since they can sell products from multiple insurers, compared with someone in closed architecture, who can sell only one insurer's products.

For an extended version of this story, go to livemint.com.

\$156 bn
Value of the life insurance market in India71%
Life insurance share in India's overall insurance sector

FCNR has bought India time to reform, says Neelkanth Mishra

Harsh Kumar &
Banikankar Pattanayak

NEW DELHI

The record \$127 billion in dollar inflows from the foreign currency non-resident (bank), or FCNR(B), scheme have given India about a year or two to shield the economy from external volatility and push structural reforms to improve the way its current account deficit is financed, said Neelkanth Mishra, the country's executive director at the World Bank Group.

The inflows come at a time when the West Asia crisis has driven up global oil prices, weighing on the external balance of a net energy importer like India.

Every \$1 increase in global crude oil price costs India about \$1.8 billion a year, Mishra said in an interview. The impact isn't limited to oil, as higher prices could also raise the costs of gas and fertilizers. So, if oil prices remain elevated by \$30-35 a barrel for a full year, India could see an impact of \$55-60 billion in its external balance, he said.



Neelkanth Mishra, India's executive director at the World Bank Group.

"That's quite substantial," Mishra said. If \$105 a barrel were to become the new global oil price, "perhaps a mix of imports and exports needs to change, and then the rupee needs to move on." Brent crude oil prices closed at \$102.25 a barrel on Friday.

However, since it is unclear how long energy prices will stay high, it won't be prudent to let the rupee depreciate sharply and then appreciate when energy prices correct, he said. "So, we bought ourselves time to protect ourselves from vola-

tility [through the FCNR(B) deposits]," Mishra said. The special FCNR(B) deposit facility closed on 31 August, a month earlier than planned, as inflows far exceeded expectations.

Apart from India, Mishra also represents Bangladesh, Bhutan and Sri Lanka, which form a four-nation constituency at the World Bank.

Mishra also pointed to increased currency hedging, as exporters were delaying the repatriation of dollars and importers were hedging more than before due to fears of volatility. Some foreign asset managers with Indian holdings were also hedging their assets.

India's balance of payments deficit was around \$18-20 billion in the second half of fiscal year 2026, while Reserve Bank of India intervention was around \$75 billion, Mishra said. The difference, he said, indicated more than \$55 billion of speculative activity, mostly by corporations with natural demand and supply requirements for dollars.

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For an extended version of this story, go to livemint.com.

India's resilience to global shocks built on reforms: Das

Dhirendra Kumar &
Manas Pimpalkhare

NEW DELHI

India's resilience to global economic shocks is the result of broad, mutually reinforcing reforms undertaken over the past decade, Shaktikanta Das, principal secretary-2 to Prime Minister Narendra Modi, said on Sunday, stressing the need to sustain this reform momentum as the country works towards the Viksit Bharat 2047 goal.

Speaking at the Kautilya Economic Conclave in New Delhi, Das said reforms such as flexible inflation targeting, the goods and services tax, digital payments and banking sector reforms were not designed as one-off measures but as buffers that allow the economy to absorb disruptions and recover rapidly.

"India's resilience is not accidental. It is the outcome of broad and mutually reinforcing reforms," said Das, who served as the 25th governor of the Reserve Bank of India for six years until December 2024.



Shaktikanta Das, principal secretary-2 to the prime minister.

He also stressed that India's strategy is no longer simply to grow rapidly, but to grow sustainably and resiliently over the long term.

Das's remarks resonate with the recent assessment by Moody's Ratings, which raised its forecast for India's real gross domestic product (GDP) growth in fiscal year 2027 (FY27) to 7% from 6%, citing the economy's resilience to external shocks, stronger domestic demand and investment.

He said that the country's policy focus on fiscal consoli-

dation and sustainable debt should also be viewed against the backdrop of high public debt in many advanced economies, where debt levels average close to 110% of GDP. Such high debt levels are contributing to rising bond yields and limiting the fiscal space available to deal with future shocks, he said.

Despite a difficult global environment marked by wars, geopolitical fragmentation, unilateralism, technological restrictions, energy price volatility and inflation, India's real GDP grew 7.8% in the first quarter of the current financial year, Das said. He added that average annual GDP growth during the five years after the pandemic, from FY22 to FY26, was 7.9%.

Das identified strengthening governance and state capacity, building macroeconomic stability, and investing in long-term productive capacity as three broad pillars behind India's economic resilience.

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Govt proposes safety limits for medicinal plant used to treat epilepsy

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NEW DELHI

The government has proposed a set of safety and quality limits for the root bark of *Mundulea sericea*, a medicinal plant used in traditional treatment for various conditions, including epilepsy.

A draft proposal, seen by *Mint*, sets maximum limits for toxic heavy metals, aflatoxins, pesticide residues and microbial contaminants in the plant material. The proposal has been prepared by the Bureau of Indian Standards' Ayurveda Sectional Committee and is

currently under consideration, two government officials said.

The proposed limits include 10 parts per million (ppm) for lead, 1 ppm for mercury, 0.3 ppm for cadmium and 3 ppm for arsenic. It also sets maximum limits of 2 ppm for aflatoxin B1 and 5 ppm for total aflatoxins.

The move assumes significance as India seeks to expand the global markets for the traditional medicine sector, where consistent quality and safety standards are important to maintain the sector's credibility and competitiveness.

India's AYUSH (Ayurveda, yoga and naturopathy, Unani,



The move assumes significance as India seeks to expand the global markets for the traditional medicine sector.

Siddha and homoeopathy) services economy stood at \$36.92 billion in fiscal year 2025 (FY25), while AYUSH product

exports rose from \$869.81 million in FY21 to \$1.27 billion in FY25 before easing marginally to \$1.25 billion in FY26, accord-

ing to government data.

The proposed norms cover the root bark of *Mundulea sericea*, a plant belonging to the Fabaceae family, that grows up to 10-15 ft and is found in several parts of Karnataka, including Bagalkote, Belagavi, Ballari, Bijapur, Chikmagalur, Chitradurga, Hassan, Kolar, Tumakuru and Uttara Kannada.

The root bark has traditionally been used for conditions such as epilepsy, poisonous bites, wounds, hernia and infertility, as well as bilharziasis (schistosomiasis). These uses are based on traditional practices and should not be interpreted as evidence of clinical

efficacy, said the first of the two officials cited above.

The draft proposal describes the plant as "extra-pharmacopoeial," meaning it is not currently included in the official pharmacopoeia.

"The proposed standards are intended to ensure that the plant material used in Ayurvedic products meets basic quality and safety requirements, rather than being sold as an unregulated raw material in roadside shops," said the first official. "This can help consumers get products of consistent quality, while ensuring that manufacturers use properly identified and tested plant

material."

The root bark must be free from foreign matter and meet set limits for ash and extractives, the officials said. The proposed norms also set microbiological requirements, including the absence of *Staphylococcus aureus*, *Pseudomonas aeruginosa* and salmonella in specified forms of the material, as well as limits for *Escherichia coli*, total microbial count, yeast and mould.

Queries sent to the department of consumer affairs remained unanswered till the press time.

For an extended version of this story, go to livemint.com.

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First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

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Jio Platforms may list by October-end at ₹12 tn valuation

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Digital services major Jio Platforms is likely to get listed by the end of this month at an enterprise valuation of \$143-146 billion or above ₹12 trillion, people aware of the development said. Jio Platforms IPO is touted as India's largest public offer at an estimated size of \$3.8 billion.

The company has concluded overseas roadshows and is expected to file final papers with market regulator Sebi for the initial public offering in the week starting 12 October, banking and other sources who did not wish to be identified told PTI.

"Based on interest received from overseas roadshows, Jio Platforms is likely to list at a base enterprise valuation of \$143-146 billion or at least ₹12 trillion by the end of this month," one of the banking sources said.

An email sent to Jio Platforms seeking comments based on available information did not elicit any reply.

The overseas roadshows held in the US, UK, Dubai, Hong Kong and Singapore were led by Jio Platforms Managing Director and Reliance Jio Chairman Akash Ambani and Reliance Retail Ventures Ltd Executive Director Isha Ambani.

One of the event vendors said JPL is expected to hold a roadshow for the IPO in India in the week starting 12 October after filing the red herring prospectus. According to banking sources, JPL is expected to start an anchor round before Dussehra and the issue is expected to open post-Dussehra before 23 October. "The firm is expected to list on the stock exchange by the end of this month," the source said.

Securities and Exchange Board of India (Sebi) issued its final observations on 28 August. Jio Platforms had filed its draft IPO papers in June.

According to its prospectus, it plans to issue up to 270 million fresh equity shares, or



The firm may raise \$3.8 billion through the IPO. REUTERS

about 2.9% of its post-issue equity base. Sources indicated that the firm may raise around \$3.8 billion from the offer.

The public offering comes as India's primary market has remained active, with strong participation from retail investors and domestic institutions.

More than two dozen IPOs have been announced or launched since July 1, nearly

It has completed global roadshows and is likely to file final IPO papers with Sebi in the week starting 12 October

matching the 28 recorded in the first half of 2026.

Jio Platforms houses Reliance's digital businesses, including its telecommunications operations.

Reliance Jio Infocomm, the telecom arm of JPL, dominates the Indian telecom market with a 32.89% market share in fixed-line connections, serving 157.9 million customers, and a 39.29% share in mobile connections, with 506 million customers.

JPL has the largest 5G Standalone network outside China, with 26.85 crore 5G customers as of June 2026. Jio leads the Fixed Wireless Access segment globally with about 1.5 crore subscribers, roughly 1.5 times the second-largest player, US-based T-Mobile.

Jio claims that its 5G network's carrying capacity is close to 60% of India's wireless data traffic, one of the largest in the world.

Leveraging its network and data traffic capacity, Jio has expanded its business into other areas of the digital ecosystem, including cloud, artificial intelligence and enterprise network services.

Startups rethink IPO fund use

Four listed new-age firms may realign ₹500-700 cr IPO proceeds towards higher-yielding growth opportunities

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Listed new-age companies are changing how they deploy initial public offering (IPO) proceeds, seeking higher-yielding growth opportunities as execution delays extend planned timelines. At least four new-age firms listed since mid-2025 are considering realigning ₹500-700 crore of proceeds from their primary issues, according to multiple industry executives *Mint* spoke to.

"Instead of leaving IPO proceeds idle in low-yielding deposits, we are opting to revise the deployment plans through a shareholder approval," an executive from one of the companies said on condition of anonymity. "Proxy advisory firms and minority (shareholder) groups may raise questions, so the delta of pivoting towards higher-return projects needs to be clearly established."

Another executive said that "plans like these need to be ratified at multiple levels, and will take at least six months before materializing."

Typically, Indian companies transfer net IPO proceeds from public issue escrow accounts to issue-monitoring accounts or current accounts



Companies are seeking shareholder approval to change fund deployment. HT

with scheduled commercial banks before deploying them as outlined in their offer documents. Funds held in such accounts earn 4-6% annually.

Brainbees Solutions Ltd, the parent company of omnichannel retailer for baby and maternity products FirstCry, said on 31 August that it was seeking shareholder approval to change the use of ₹280 crore of its IPO proceeds, which would entail a reduction in funds earmarked for expansion in Saudi Arabia and the opening of standalone Babyhug stores in India.

Fintech firm One Mobikwik Systems Ltd said on 2 June that it plans to divert ₹61 crore originally earmarked for the organic growth of its financial services business to its wholly owned subsidiary, Mobikwik Distribution Services Pvt. Ltd. Other than that, it also sought approval to reallocate ₹34 crore from the payment devices business to its payment services business.

Bhavish Aggarwal's electric two-wheeler maker Ola Electric Mobility Ltd on 18 March made a fresh revision in the utilization of its ₹5,500 crore IPO proceeds, reallocating ₹75 crore

from its research and development (R&D) budget towards debt repayment and growth initiatives. This marked Ola Electric's second revision to its use of IPO proceeds, following an earlier reallocation approved by shareholders in August 2025 that reduced the R&D allocation while increasing the share earmarked for debt repayment and organic growth.

"New-age firms operate in rapidly changing environments and must continuously adapt their strategies to emerging opportunities and challenges," said Raghuram K., partner, accounting and reporting consulting, Unicus Consultech Inc.

"Such strategic shifts may, in certain cases, necessitate a corresponding change in the utilization of IPO proceeds.

However, this is unlikely to be a uniform trend across sectors; the impact will depend on the specific business environment and evolving priorities of individual companies," he said.

External headwinds have further widened the gap between initial fundraising targets and on-the-ground operational deployment, according to a top lawyer who deals with capital

market transactions.

"This year, geopolitical conflicts, currency fluctuations and crude oil price volatility have disrupted pre-IPO projections across sectors," said Siddhartha Desai, a principal associate at law firm JSA, where he specializes in public and private capital market transactions. "Promoters and boards are realizing that sticking rigidly to original IPO end-use

projections often does not make financial sense given the volatile market," he added, while explaining how, historically, companies rarely changed their stated IPO object clauses, often forcing underperforming plans forward.

Desai said altering capital plans helps protect project internal rates of return and operational metrics, aiding management teams in securing shareholder approval.

"In most cases, reallocations are better understood as management responding to evolving market realities rather than necessarily reflecting shortcomings in pre-IPO financial forecasting," said Raghuram.

For an extended version of this story, go to [livemint.com](#).

CAPITAL SHIFT

IPO proceeds held in banks earn 4-6% annually, prompting more productive uses for the capital

WARS, a weak rupee and crude-volatility disrupted pre-IPO projections, making plans less viable

IndiaTech seeks fairer formula for gig-worker social security levy

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IndiaTech, which represents new-age startups, including Ola, Swiggy, Zomato and Porter, has urged the labour ministry to review how gig-worker social security contributions are calculated, saying a levy based on annual turnover could unfairly burden platforms that count the full transaction value as revenue.

Instead, it has proposed linking contributions to the amount paid or payable to gig and platform workers, according to a white paper submitted to the ministry on 29 September and reviewed by *Mint*.

The demand comes as the gig economy expands rapidly and workforce grows across business models. Under the

Code on Social Security, 2020, aggregators must contribute 1-2% of annual turnover to social security for gig and platform workers, subject to a cap of 5% of the amount paid or payable to such workers. India's gig workforce is projected to have crossed 1 crore in 2024-25 and is expected to reach 2.35 crore by 2029-30, according to Niti Aayog estimates. The Code, enacted in September 2020 and implemented on 21 November 2025, consolidates several social-security laws and extends coverage to unorganised, gig and platform workers.

The paper points out that "turnover" can mean very different things for different types of platforms. Platforms acting as agents, such as commission-based ride-hailing apps, record only the commis-



The current framework mandates aggregators to contribute 1-2% of annual turnover, capped at 5% of payments to gig workers. HT

sion they earn as revenue. In contrast, platforms acting as principals, such as inventory-led e-commerce companies, record the entire transaction value, or Gross Merchandise Value (GMV), as revenue.

For example, if a customer

pays ₹100 for a service, agent platforms may keep ₹20 as its commission and record ₹20 as revenue. A principal platform may record the entire ₹100 as revenue. This means the principal platform faces a much higher contribution even for a

similar transaction.

"Linking contributions from aggregators to accounting turnover rather than actual labor utilization creates profound structural inequities. Because the definition of turnover varies between business

models, this approach forces sectors to contribute in near-inverse proportion to the workforce they engage, resulting in wildly unequal premiums for comparable work," said Dhiraaj Gyani, chief operating officer, IndiaTech.

The ministry of labour did not respond to *Mint's* queries until press time. Swiggy, Zomato, Porter and Rapido also did not immediately

respond to *Mint's* queries.

The white paper points out that when the Code was passed, it recognised only one broad business model under the definition of "aggregators" as entities engaged gig workers. However, the gig economy

has since evolved, with a wider range of sectors and business models. The paper argues that the Code should therefore be revisited and amended to include newer models such as "platforms", "principal service providers" and "subscription services", which are also part of the gig economy.

For an extended version of this story, go to [livemint.com](#).

The lobby group says turnover-based levies can burden platforms that record full transaction value as revenue

India should build its own AI safety framework, say experts

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India should build its own artificial intelligence (AI) safety framework suited to its languages, scale, and application-led AI ecosystem rather than replicate a voluntary pact signed by US President Donald Trump and top technology firms last week, industry experts said.

They also called for a commitment that brings all stakeholders and tackles risks such as deepfakes and cyberattacks, even as they differed on whether voluntary measures alone would be enough.

The comments came after the White House Accord on Super Intelligence, a voluntary AI safety pact signed on September 29 by Trump and top executives from Google, OpenAI, Anthropic, Meta, Nvidia and Elon Musk's xAI.

Under the accord, the companies committed to internal controls to monitor their artificial intelligence models, dedicated oversight teams, independent external audits and board-level oversight. They also agreed to meet regularly to set safety standards.

Nasscom Chairman and Fractal Group CEO Srikanth Velamakanni said India should not simply replicate the US. Instead, it should use a domestic commitment as a building block towards a global understanding of AI safety. "As models become more capable and agentic, we are giving them greater access to systems and greater autonomy to make



India's AI framework must be tailored to its languages, scale and applications and not replicate US pact, experts say. ISTOCKPHOTO

decisions. AI safety must be strengthened considerably and must stay ahead of capability to prevent catastrophic risks," Velamakanni said.

He noted that the US accord is largely a push for self-policing by frontier AI companies. The European Union, by contrast, has taken a binding, risk-based approach, while China

follows a state-directed control model.

India, the Nasscom Chairman said, could use its role in the Global Partnership on AI (GPAI) and the momentum from hosting the AI Impact Summit in February to prevent worst-case outcomes, without citizens of India and the Global South being denied access to frontier models.

"India doesn't need to copy the US model, but it can take inspiration from it and expedite efforts to build a trusted AI ecosystem," said Soumen Mandal, Principal Analyst at

Counterpoint Research.

He added that such a commitment should cover testing AI systems before deployment, independent audits, reporting serious problems, and naming people responsible for AI-related risks.

Amit Khanna, Partner and Automation Ecosystem Leader at Grant Thornton

Bharat, said any commitment should be suited to Indian market conditions. He noted that India's focus is on building AI applications rather than major foundational models.

"An industry commitment in India must ensure AI works reliably across vernacular languages and unique cultural contexts and must not exploit AI knowledge asymmetry in the population," Khanna said.

Ganesh Gopalan, CEO and co-founder, Gnani.ai, said any framework must ensure a level playing field.

The framework must involve all stakeholders, including firms and regulators, to address threats such as deepfakes

Understanding global markets and their impact on Indian investors

MINT MEDIA MARKETING INITIATIVE

Events taking place thousands of kilometres away, anywhere in the world, can influence markets across the globe, including India. While these movements may seem concerning, understanding their impact can help investors stay focused on their long-term financial goals rather than reacting to short-term market noise.

Global markets influence Indian markets through several channels. Changes in crude oil prices can affect inflation and corporate profitability. Interest rate decisions by major central banks can impact foreign investments into India and so on. These factors may lead to short-term market fluctuations, but they do not necessarily change the long-term investment potential of well-diversified portfolios.

Mr Investor: Every time there's news about the US economy or a global conflict, I see the Indian market react. Should I stop investing until things settle down?

Mr Mutual Fund: Markets have always experienced pe-

smarTomorrows by **CANARA ROBECO**
An Investor education and awareness initiative **Mutual Fund**

riods of uncertainty, yet long-term investors who remain disciplined have generally benefited from staying invested rather than trying to predict short-term movements.

Consider a simple example. Suppose global equity markets decline due to rising interest rates in a major economy. Indian equity markets may also witness temporary volatility as foreign investors adjust their port-



investing during both rising and falling markets, reducing the need to time investments. See table below.

Mr Investor: Whenever markets fall because of global news, I feel like redeeming my mutual fund investments and waiting for better times.

Mr Mutual Fund: That's a natural reaction, but instead of reacting emotionally, focus on your financial goals

and asset allocation in your mutual fund portfolios. Diversified mutual funds are managed by experienced professionals who continuously monitor both domestic and global developments while managing portfolios within the investment objective.

Mr Investor: So, should I monitor global news at all?

Mr Mutual Fund: Staying informed is useful, but avoid letting every headline dictate your investment decisions. Think of global news as weather forecasts, they help you understand the environment, but they shouldn't make you abandon your long-term journey. A well-diversified portfolio is designed to navigate changing market conditions.

Global markets will continue to influence Indian markets from time to time, and periods of volatility are a natural part of investing. Rather than viewing them as reasons to pause investing, investors can treat them as reminders of the importance of diversification, disciplined investing, and maintaining a long-term perspective.

Global Event	Possible Impact on Indian Markets	What Investors Should Remember
Rise in global interest rates	Short-term market volatility	Long-term goals should remain unchanged
Increase in crude oil prices	Inflationary pressures	Diversified portfolios help manage risk
Global economic slowdown	Temporary impact on corporate earnings	Market cycles are a normal part of investing
Geopolitical tensions	Higher market uncertainty	Avoid making decisions based on short-term news

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.
Disclaimer: Know Your Customer (KYC): It is mandatory to complete KYC process before investing in Mutual Funds (MF). For this, submit the completed KYC Form at any Asset Management Company (AMC) branch or nearest Point of Service (POS) or through a financial advisor. For KYC Form, click here: <https://www.canararobeco.com/web-content/uploads/2025/02/cr-central-kyc-registry-application-form-individual.pdf>. If you would like to update any KYC information (address, contact details etc.), submit the KYC Form with updated details at your nearest AMC branch or POS. Check KYC status at Know Your Status (www.knowyourstatus.com). For change of bank details registered with any MF, download bank mandate change form from MF's website, and submit the form to the MF's branches or Official Points of Acceptance. SEBI Registered Mutual Funds: Details of which can be verified on the SEBI website under "Investment and Market Infrastructure Institutions". At <https://www.sebi.gov.in/investor-education>. For complaints, contact the Investor Service Department of the respective MF. For contact details, refer scheme related documents of MFs. In case, the investor is not satisfied with the resolution, the investor can complain on SCORES platform (SEBI Complaints Redress System) at <https://scores.sebi.gov.in>. For cases, where the investor is not satisfied with the resolution by AMC/MF or through SCORES, the investor can complain on Online Dispute Resolution Portal ("ODR Portal") at <https://omdr.sebi.gov.in/login>. This material is a part of the Investor Education and Awareness Initiative by Canara Robeco Mutual Fund. SEBI Registered Name: Canara Robeco Mutual Fund SEBI Registration Number: MF049/93/4

S&P BSE Sensex					Nifty 50					Nifty 500					Nifty Next 50					Nifty 100					S&P BSE Mid-cap					S&P BSE Small Cap				
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1-WEEK CHANGE (%) -2.27					1-WEEK CHANGE (%) -2.78					1-WEEK CHANGE (%) -3.08					1-WEEK CHANGE (%) -3.36					1-WEEK CHANGE (%) -2.89					1-WEEK CHANGE (%) -3.72					1-WEEK CHANGE (%) -3.32				
1-MONTH CHANGE (%) -6.54					1-MONTH CHANGE (%) -6.79					1-MONTH CHANGE (%) -6.35					1-MONTH CHANGE (%) -5.34					1-MONTH CHANGE (%) -6.52					1-MONTH CHANGE (%) -6.82					1-MONTH CHANGE (%) -4.41				
3-MONTH CHANGE (%) -6.52					3-MONTH CHANGE (%) -6.60					3-MONTH CHANGE (%) -5.43					3-MONTH CHANGE (%) -4.33					3-MONTH CHANGE (%) -6.18					3-MONTH CHANGE (%) -4.28					3-MONTH CHANGE (%) -1.92				
6-MONTH CHANGE (%) -1.67					6-MONTH CHANGE (%) -1.14					6-MONTH CHANGE (%) 4.41					6-MONTH CHANGE (%) 11.42					6-MONTH CHANGE (%) 1.05					6-MONTH CHANGE (%) 9.56					6-MONTH CHANGE (%) 18.29				
1-YEAR CHANGE (%) -11.20					1-YEAR CHANGE (%) 9.72					1-YEAR CHANGE (%) -4.67					1-YEAR CHANGE (%) 1.31					1-YEAR CHANGE (%) -7.79					1-YEAR CHANGE (%) 0.83					1-YEAR CHANGE (%) 2.30				



Navanit Narayan, executive director of Adperma, and MD and CEO of Haldia Petrochemicals.

Adperma mulls IPO plans as HPL expands

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The Chatterjee Group-backed Haldia Petrochemicals Ltd's (HPL) specialty chemicals and advanced polymers subsidiary, Adperma Pvt. Ltd, is exploring a public listing. Private-sector firm Adperma plans to increase its phenol and acetone production, which are used to make polycarbonate plastics and epoxy resins for lightweight, shatterproof plastics in the automotive industry, electronics, and high-performance protective coatings, said the firm's executive director Navanit Narayan in an interview. He is also the HPL managing director and chief executive officer.

Adperma's first phenol plant in Haldia, West Bengal, developed with a capex of ₹6,000 crore, will be inaugurated on 14 October. The facility will have a capacity of 345,000 tonnes per annum of phenol and 215,000 tonnes per annum of acetone. Given that India imports about 50% of its requirement for these chemicals, the plant would also help reduce imports of chemicals from West Asia and Southeast Asia.

Adperma currently operates a 9,000 tonne per annum facility for Refined LMW Polyethyl-

ene (Refined PE Wax) used in paints and coatings, asphalt and bitumen modification, printing ink, flow modifiers, and cosmetics, among others.

Speaking about expansion plans, the executive said the company has identified projects that will use phenol and acetone as raw materials. "So we get to extract the maximum value from this investment," he said.

Narayan, who till recently was the whole-time director and chief executive officer of Haldia Petrochemicals, was appointed as managing director and chief executive officer of the company (Haldia Petrochemicals) on 30 September.

While phenol is used in laminates and the plywood industry, among others, acetone is used in the pharmaceutical industry and personal care products, including sanitizers and nail polish remover.

He also said that in the next few years, the company would look at increasing its production capacity for phenol and acetone as the demand for these products and their byproducts is set to increase with a growing economy and urbanization. "So, as the market develops and evolves, our plant can go up to 400,000 tonnes," he said.

For an extended version of this story, go to livemint.com.



INTERVIEW

reflecting that uncertainty, and in India, the market is pricing in an interest-rate hike.

There is also more anxiety in India because, after two months of FII (foreign institutional investor) inflows in July and August, September has again been challenging. Despite around \$135 billion of FCNR (foreign currency non-resident) deposits coming in, the rupee had depreciated to around 94.50 and is now moving closer to 96. FII flows have, therefore, taken a breather.

Globally, bond yields are rising, and there is some fear about outflows. What is your take on the market at this point?

The near-term challenge is

Little cheer for IT growth in Q2

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Indian IT stocks may see a positive rub-off of Accenture's solid Q4FY26 (June-August) result. Accenture competes with tier-I IT firms in the managed services (outsourcing) business, and is often seen as an indicator of future prospects.

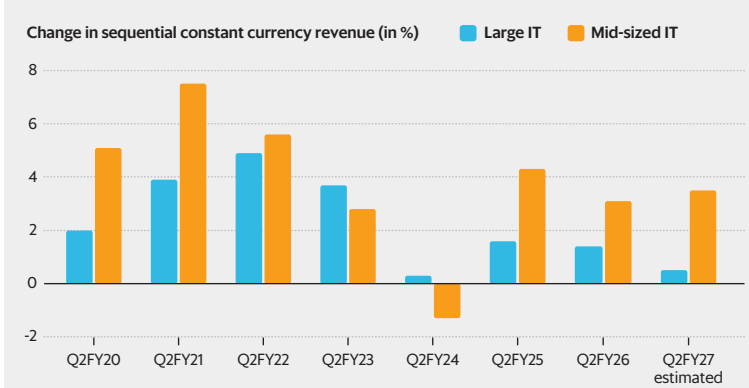
Accenture, which follows a September-August financial year, delivered 7% year-on-year revenue growth in Q4FY26, above guidance and consensus estimate. The FY27 revenue growth target of 3-6%, was ahead of the Street's 2-5% expectations.

But Indian IT investors shouldn't get carried away. Accenture's FY27 growth target implies modest 0.5-4% organic growth, and midpoint of 2.25%, below FY26 organic growth of 3%, said Systematic Shares and Stocks (India). Accenture's Q4FY26 results offer a neutral read-through for Indian IT—demand and budgets remain stable, but a broad-based recovery is yet to emerge, it added.

Accenture expects the macro environment to remain dynamic in FY27 and similar to FY26. While pricing held steady for the entire FY26, it softened in

Tough times

Large IT firms are likely to deliver the weakest Q2 growth in the past three years in FY27.



Aggregate data for companies under Jefferies's coverage.
Source: Company data, Jefferies estimates

PRATEEK KUMAR/MINT

several business areas in Q4FY26, the management said. Pricing pressure may continue amid stiff competition.

The Indian IT sector's Q2FY27 earnings season begins with Tata Consultancy Services's results on 8 October. Q2 is usually a seasonally strong quarter, but macro uncertainty, weak demand environment, AI-led productivity pressures and intense competition may hurt

growth for tier-I IT firms.

Tier-II firms will continue to beat larger peers on revenue growth driven by better execution. IT companies under the coverage of Jefferies India are expected to post 1.7% aggregate sequential constant currency (CC) revenue growth in Q2FY27, led by acquisitions. Organic growth is estimated at just 0.8%. Mid-sized firms would see 3.5%

sequential CC revenue growth, large IT firms would clock a muted 0.5% growth, making Q2FY27 the weakest Q2 for large IT firms in the past three years, said Jefferies on 30 September.

The banking, financial services and insurance vertical may show positive momentum. Manufacturing remains soft, while hi-tech, communication and retail could see mixed trends. ER&D firms face pressure due to weakness in the auto sector, supply chain disruption and West Asia war. The US Federal Reserve's 25 basis points rate hike, its first since 2023, and the possibility of another hike later in 2026 would weigh on clients' IT spending decisions, as borrowing costs soar.

Earnings before interest and tax (Ebit) margin would

remain broadly stable sequentially, supported by operating leverage, internal cost optimization and productivity efforts. However, rupee depreciation, wage hikes, business-related seasonality, and mergers & acquisitions could influence margin movement.

Deal activity was healthy in Q2FY27,

indicating that AI is moving beyond pilots towards scaled adoption. Key deals in Q2FY27 were HCL-Fortune Global 50 firm, TCS-Porsche, TCS-Odisha government, Coforge-European client and Infosys-Crocs. Large transformation, AI-led, cost optimisation, and vendor consolidation deals would continue to drive the deal pipeline. However, slower revenue conversion may prompt Infosys and HCL Technologies to trim FY27 revenue growth guidance.

Overall, steep revenue recovery in FY27 seems unlikely given muted H1 and H2, which includes a seasonally weak furlough impacted Q3. In fact, the industry has entered the fourth year of subdued growth, notes JM Financial Institutional Securities. A sharp de-rating amid AI-led deflation concerns has dragged the Nifty IT index down 25% in 2026. The index trades at a one-year forward price-to-earnings multiple of 15, way lower than the five-year average of 26, according to Bloomberg data. Multi-year low valuation is hardly a selling point.

MIXED SIGNALS

DEAL activity was healthy in Q2FY27, indicating that AI is moving towards scaled adoption

OVERALL, steep revenue recovery in FY27 seems unlikely given muted H1 and H2

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

Wall Street's AI party is on edge as soaring bond yields raise risks

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Wall Street's artificial intelligence (AI) fixation is so strong that it's overwhelming all risks, including soaring interest rates, as investors continue to plow money into the market's largest technology stocks and push equity indexes toward record highs.

But even with all the euphoria, the risks looming on the horizon are becoming acute, particularly as yields on long-term Treasuries trade near their highest levels in decades.

"With these higher rates, all of us are on edge," said Ken Mahoney, chief executive officer of Mahoney Asset Management.

Just last week, the long bond yield reached 5.69% and the 10-year rate topped 5.3%, something neither has done since 2002. But tech stocks have still managed to hold onto their gains. The Nasdaq 100 Index hit a fresh record on Friday and is up 22% this year, while the S&P 500 Index is less than 1% from the all-time high it reached in August. The largest point contributors to the S&P 500's and tech-heavy

Nasdaq 100's gains over the last three months are AI giants Microsoft Corp., Nvidia Corp. and Apple Inc.

"I would've said 5% was the limit, but you know, that's kind of in the rearview mirror already," said Matt Stucky, chief portfolio manager at Northwestern Mutual.

Investors' confidence in the durability of this rally largely rests on sky-high expectations for upcoming earnings from the tech giants that have driven the lion's share of growth over the last few years.

Third-quarter earnings per share for the sector are expected to jump more than 65%, giving the group the second-fastest growth after energy, to help fuel the more than 24% rise in EPS (earnings per share) anticipated for S&P 500 companies, according to Bloomberg Intelligence. If that happens, it will be the third straight quarter when the index's EPS has climbed more than 20%.

"It's hard to even put that in perspective," said Rob Conzo, chief executive officer of the Wealth Alliance. "It's historic." AI has been the primary driver of gains in the stock market—



Last week, the long bond yield reached 5.69% and the 10-year rate topped 5.3%, something neither has done since 2002.

REUTERS

and technology shares in particular—over the last three years, as companies spend hundreds of billions of dollars to build out the infrastructure needed to power the nascent technology. Those capital expenditures have created a virtuous circle for investors where the behemoths doing the spending rally because they're making progress on AI, and the recipients of all that cash, from chipmakers to data center construction companies, also climb

as their revenues take off.

Still, sentiment around AI has oscillated between excitement and concern many times over the last few months

Sentiment around AI has swung between excitement and concern many times over the last few months

could pose for humanity. At the same time, the market is grappling with the war in Iran, sticky inflation led by surging oil prices

and the likelihood of another interest-rate hike by the Federal Reserve this year.

That back-and-forth has driven rotations from software to hardware and back to the Magnificent Seven tech giants, which lagged in the first half of the year but have outperformed the broader market since the end of July.

It all adds up to a complicated trading environment. You can't dismiss the incredible momentum driving AI names higher, but the threat of a stock market selloff is real, especially with interest rates in the stratosphere and AI spenders needing to borrow increasing amounts of capital to fund their ambitions.

"The interest-rate sensitive stocks are feeling it at this level," Mahoney said. "I think every stock would feel it if it keeps grinding higher."

The market appears to have accepted that rates will stay higher for longer than expected, at least for now. But it's not clear how long that can last or at what level the pain would start to weigh on tech stocks, given their earnings strength.

"Historically it takes roughly a hundred basis point move or

so in the 10-year to kind of impact valuations and earnings," Northwestern Mutual's Stuckey said. "So I guess it's just higher, simply put."

With benchmark 10-year Treasuries at around 5.3%, there isn't much more room to go. "If 10-year yields go to 6%, we're going to have a different conversation," said Chris Galipeau, head market strategist at the Franklin Templeton Institute.

The last time the 10-year hit 5% was briefly in 2023. The S&P 500 rose 24% that year, kicking off a three-year run of double-digit percentage gains. Back then, the theory was that rising yields didn't kill the rally because the gains were being led by the Magnificent Seven, which had enormous piles of cash on their balance sheets and light debt loads, giving them the ability to withstand higher borrowing costs.

That has changed this year as the massive AI infrastructure spending has prompted them to sell stock and issue bonds to raise the money they need. Major AI spenders Alphabet Inc., Amazon.com Inc. and Meta Platforms Inc. have all seen free cash flow turn negative on an annual basis.

'Capex across sectors will intensify once external issues ease'

Srushiti Vaidya & Ram Sahgal
MUMBAI

While the Nifty 50 is trading slightly below its 10-year average valuation, its composition still reflects the India of the past, with significant weightage to sectors such as IT services, consumer staples, oil & gas, and banking, said Sunil Singhania, chairman and managing director (MD) at Abakus Asset Manager Pvt. Ltd. So, the index can deliver decent returns, broadly in line with India's normal gross domestic product (GDP) growth, but may struggle to generate very high growth, he added.

On the contrary, mid-caps and small-caps will represent India's future, so growth will be higher, he added.

Edited excerpts:

Globally, bond yields are rising, and there is some fear about outflows. What is your take on the market at this point?

The near-term challenge is

that the West Asia conflict does not seem to be settling. The situation has become increasingly unpredictable, and that uncertainty is causing concern across multiple economies.

With the situation in West Asia remaining unclear, there is a broader view that oil prices could remain at sustainably high levels. Higher oil, freight, and logistics costs are contributing to global inflation, including in the US. The general view is that inflation could remain sticky until there is some resolution to the conflict. Bond yields are reflecting that uncertainty, and in India, the market is pricing in an interest-rate hike.

There is also more anxiety in India because, after two months of FII (foreign institutional investor) inflows in July and August, September has again been challenging. Despite around \$135 billion of FCNR (foreign currency non-resident) deposits coming in, the rupee had depreciated to around 94.50 and is now moving closer to 96. FII flows have, therefore, taken a breather.

Our view is that the challenges are predominantly concentrated around the West Asia conflict. If a resolution is reached sooner rather than later, oil prices could fall significantly, and inflation concerns would recede.

So far, mid-caps and small-caps have outperformed large-caps, while large-caps have languished for the last two years. How do you look at them?

Larger companies have underperformed. Returns ultimately follow earnings growth, and segments with higher growth tend to command higher valuations. The challenge is that while the Nifty is now slightly below its 10-year average valuation, its composition largely represents the past India. You have IT services, consumer staples, oil and gas, and banks, all of which have relatively limited growth. So the Nifty can deliver decent growth, perhaps in line with India's normal GDP growth, but not very high. Mid- and small-caps represent future India. You have precision manufacturing, renewable energy, EVs,



defence and other emerging sectors where growth has been higher. That is why these stocks have performed better. What should one's portfolio look like?

Having said that, a significant portion of the mid- and small-cap basket is in a euphoric zone, with investors buying purely on themes and stories. One has to be very careful there. But there is also a good set of companies that can grow faster than India's GDP over the long term, with valuations justified by the next

three to four years.

The challenge is that while the Nifty is now slightly below its 10-year average valuation, its composition largely represents the past India. You have IT services, consumer staples, oil and gas, and banks, all of which have relatively limited growth. So the Nifty can deliver decent growth, perhaps in line with India's normal GDP growth, but not very high.

Mid- and small-caps represent future India. You have precision manufacturing, renewable energy, EVs,

defence and other emerging sectors where growth has been higher. That is why these stocks have performed better.

Having said that, a significant portion of the mid- and small-cap basket is in a euphoric zone, with investors buying purely on themes and stories. One has to be very careful there.

On the new Irdai consultation paper, given that financials account for almost 35% of the Nifty, could this become a concern if the proposals are implemented?

Regulators are there to ensure the sector's systematic growth. We have seen multiple instances where regulations may not be welcomed by the industry initially, but ultimately help the sector grow.

From a banking perspective, these businesses have been important sources of fee income, so there could be a

knee-jerk reaction. But this is only a consultation paper, and there will be discussions before anything is implemented.

So the impact cannot be assessed yet. We have to see how the proposal is finally implemented.

BSE All Cap Index, and 53% of the stocks are trading at more than 30 times earnings.

When everyone says this is a bottom-up, stock-picking market, do you think this kind of valuation supports that view?

When you look at index P/E multiples, particularly for mid- and small-caps,

they don't always give you the right picture because there are many loss-making companies in those indices. Within any portfolio, some companies may be more expensive.

In those cases, the growth has to justify the valuation. If a company is growing at 5%, we

won't pay 25 times earnings. If it is growing at 20-30%, we may be willing to pay 40 times because the growth can justify that valuation over two or three years.

On private-sector capex (capital expenditure), the government has been doing the heavy lifting, but we are now seeing private capex pick up. Do you see the risk that higher funding costs will affect that?

Private-sector capex is picking up, but over the last one and a half years, external uncertainties have made entrepreneurs more defensive. But corporate India's balance sheet has never been better. Defaults are low, and debt-equity ratios are among the healthiest we have seen.

Capex is continuing across autos, steel, aluminium, renewable energy and battery storage. If the external environment becomes clearer, capex intensity could increase significantly.

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Air India plea could reshape air-crash compensation rules

Air India seeks faster hearing in 38-year-old Indian Airlines crash compensation dispute

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Thirty-eight years after an Indian Airlines flight crashed near Ahmedabad, killing 133 people, Air India has asked the Supreme Court to fast-track a hearing in a compensation dispute whose outcome could reshape how India compensates victims of air crashes.

The apex court is scheduled to hear the plea on Monday, according to the cause list, after Air India filed its application on 1 October. At the heart of the dispute is a simple question: should families of air-crash victims continue to be compensated using formulas developed for road-accident victims under the Motor Vehicles Act, or should courts adopt a separate framework for aviation accidents?

The outcome could shape how compensation is determined in future air-crash cases, with victims arguing that awards should reflect actual economic loss, including income and future earning capacity, as well as inflation. They also contend that compensation should also take into account airlines' financial capacity and insurance cover, rather than being restricted by formulas developed for road accidents.

"The decision could have implications beyond compensation for plane-crash victims, as it could shape the broader framework for consumer protection and how victims are compensated for harm," said Satyam Dwivedi, aviation law specialist and managing partner at DC Law Offices.

Air India told the Supreme Court in September 2025 to keep the underlying question of law open for consideration in connected or future proceedings.

The compensation dispute has been



Air India told the Supreme Court in September 2025 to keep the underlying question of law open for consideration in connected or future proceedings.

pending before the top court since 2010, after litigation arising from the 19 October 1988 crash travelled from the lower court in Ahmedabad to the Gujarat high court and eventually to the Supreme Court.

crash case should not be calculated using the Motor Vehicles Act framework used for road accidents. They said aviation accidents are fundamentally different because passengers have no control over an aircraft's operation or safety.

LONG-PENDING DISPUTE

SC will hear the plea on Monday, showed the cause list, after Air India filed its application on 1 Oct

DISPUTE has been pending before the top court since 2010, after litigation over the 19 Oct 1988 crash

THE outcome could shape how relief compensation is determined in future air-crash cases

VICTIMS argue that relief should take into account airlines' financial capacity, insurance cover

Mint's queries emailed to Air India and the Airports Authority of India (AAI) remained unanswered.

In written submissions filed in October 2025 and reviewed by Mint, the victims argued that compensation in an air-

Instead, they argued that compensation should account for the victim's actual economic loss, including income, future earning capacity and changes in earnings, as well as inflation.

The victims also argued that airlines

are large, financially capable and insured enterprises, and that compensation in an air crash should therefore not be restricted by formulas developed for road accidents. They said the availability of insurance should also be considered while ensuring that victims receive full and just compensation.

The plea also pointed to the 2010 Mangalore air-crash case, in which the Supreme Court applied principles under the Motor Vehicles Act to determine compensation. The victims, however, argued that the court did not specifically decide whether the MVA framework should apply to air-crash claims, leaving the issue open.

Lawyers say the case could ultimately have implications beyond compensation payable in the 1988 crash.

"This is a very important case, and the Supreme Court should use this opportunity under Article 142 to lay down standardized guidelines for compensation. You cannot put a different value on a person's life based on whether they travelled by air or road," said Dwivedi.

Alay Razvi, managing partner at Accord Juris, said a more individualised approach could potentially increase compensation exposure in some cases. "If the Supreme Court requires a more individualized assessment of actual loss, compensation exposure may increase in cases involving young victims, high-income earners, professionals with demonstrable career growth or families with substantial financial dependency. Airlines may also face greater exposure where liability is shared with other parties but is not subject to an applicable statutory or convention-based limit," Razvi said.

The case dates back to 19 October 1988, when Indian Airlines Flight IC-113, from Mumbai to Ahmedabad, crashed while approaching Ahmedabad airport.

For an extended version of this story, go to [livemint.com](#)

Centre steps in to resolve Mumbai airport stand-off

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The aviation ministry is meeting industry stakeholders on Tuesday to discuss the proposed redevelopment of Mumbai airport's Terminal-1, following a stand-off between Adani Airport Holdings and airlines over the matter.

International airlines have opposed Adani's move to temporarily shift some of their operations from Terminal-1 of Chhatrapati Shivaji Maharaj International Airport (CSMIA) in Mumbai to the Navi Mumbai International Airport (NMIA) about 50 km away. Adani, which operates both airports, plans to demolish and rebuild the ageing Terminal-1 at CSMIA from January.

Aviation ministry officials led by secretary Samir Kumar Sinha are expected to discuss the matter with Adani and the airlines at a meeting at 2pm on Tuesday, according to an email seen by Mint, marked 'high importance'. The meeting is scheduled just two hours before a 4 pm deadline set by Adani-owned Mumbai International Airport Ltd, which operates CSMIA, for airlines to identify the international departure slots they are willing to temporarily discontinue. Airlines and the International Air Transport Association are expected to attend the meeting.

Adani Airport and the ministry did not respond to queries sent on Sunday. Adani Airport has proposed temporarily discontinuing 265 of 770 weekly international departure slots at Terminal-2 from 25 October, with the freed-up capacity to be



Airlines have reiterated their opposition to the proposed redevelopment of Mumbai airport's Terminal-1.

used to accommodate domestic traffic shifted from Terminal-1. If airlines do not identify the slots on their own, the slots will be based on operational, capacity and implementation considerations, the operator said.

Airlines, which rejected the proposal on Friday, reiterated their opposition on Sunday. The Airline Operators Committee (AOC)—Mumbai said it fully supports the redevelopment of Terminal-1, but questioned the basis for the proposed operational changes and reasons for the proposed shift.

"Such a significant operational transition must be based on transparency, facts, proper consultation and collaboration with all stakeholders," it said in a media statement.

The airlines sought records of consultations since 2020 and clarity on how the airport operator arrived at the proposed 33% impact on international operations. They also rejected the incentives being offered at Navi Mumbai as a solution to the dispute.

"Incentives do not address these fundamental questions," AOC-Mumbai said, seeking capacity assessment and refor-

bishment plan before any changes to current operations.

"If the available capacity at T1 and T2 is sufficient to accommodate the existing operations, there should be no operational basis to reduce, cancel or relocate flights from T1," the statement added.

Adani Airport is India's second-largest airport operator after GMR Airports. It manages eight airports in India, making up nearly 23% of the domestic passenger traffic. CSMIA airport, which operates Terminal-1 and Terminal-2, handled over 38 million domestic passengers, and nearly 17 million international passengers in FY26. The airport's annual passenger capacity is 55 million.

The ministry's intervention comes after airlines on Friday rejected Adani's proposal. Last week, AOC-Mumbai had said its members did not accept the proposed reduction, cancellation or withdrawal of established international departure slots. The airlines have argued that their support for redeveloping Terminal-1 cannot be construed as consent to the withdrawal of international slots that had already been coordinated and approved for the winter schedule beginning October-end.

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CSMIA airport handled over 38 mn domestic passengers, 17 mn international passengers in FY26

SoftBank's Masayoshi Son has rare cautionary note on AI safety

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SoftBank Group Corp. chief Masayoshi Son—one of AI's fervent believers—said that even he's worried about safety risks as machines quickly gain more abilities.

An exponential surge in AI capabilities makes it imperative for countries to build trust so that they can harness the technology together, Son said at an event on the sidelines of the Science and Technology in Society forum in Kyoto on Sunday. He was speaking alongside White House science and tech policy advisor Michael Kratsios.

"We don't have any more luxury of having human fight against human," Son said, adding that countries need to work together to control the far greater threat from powerful AI models. Superintelligence in the wrong hands can become "super dangerous," he said.

It was an uncharacteristic note of caution from Son that reflects escalating concern in the wake of disturbing security breaches by AI models in recent months. The 69-year-old Japa-



SoftBank Group Corp. chief Masayoshi Son. BLOOMBERG

nese billionaire has directed SoftBank funds totalling nearly \$65 billion into ChatGPT creator OpenAI, and has spoken for years about the ability of AI to deliver investment returns and help humanity.

Kratsios was in the Japanese city to announce a US-led 17-country push to better use AI to accelerate scientific research. Representatives of nations including Japan, South Korea, the UK, Germany, Singapore and the United Arab Emirates joined Kratsios on stage to mark the event. The list of countries that initially endorsed the

stopped, with no other country able to sell to Cuba.

He said that while the infant mortality rate in Cuba before the US sanctions was 4 per 100 new births, it has jumped to 10 per 100 new births, with people dying in the absence of proper medication and medical equipment.

"In the case of Cuba, in food production, if we don't have the financial capacity to buy all that we require from India, why don't we go for co-production? We offer the land in Cuba, and Indian companies can go to Cuba and produce in Cuba. We are talking about rice, beans, and sugarcane. We offer to Indian companies this possibility, go and produce there, and

White House statement did not include China.

"In automated cloud laboratories operating at industrial scale, robotic systems will conduct hundreds of parallel experiments, generating data that feeds back for real-time analysis and hypothesis refinement," Kratsios said.

Machines are able to synthesize thousands of papers and compress years of research into "tens of hours of work by armies of digital agents assisting human researchers," he added.

In the meantime, AI services' capabilities will continue to grow exponentially, Son said. The technology behind chatbots is now helping AI services browse sites and write code, using rising amounts of general-purpose chips. Such programs will next move to a third phase and be ready to help robots and other machines interact with the physical world starting next year, he said.

Son reiterated his long-term projection that AI and machines with learning capabilities would account for at least 20% of global gross domestic product by 2040.

Era of easy money is ending: Landau

Bankinkar Pattanayak & Harsh Kumar

NEW DELHI

The era of easy money is coming to an end, French economist Jean-Pierre Landau has said, cautioning that the world is moving towards elevated real interest rates, driven by falling global savings, heavy investment in technology, and a large build-up in public debt.

The favourable conditions that led to low rates are now fading, indicating higher borrowing costs for governments and companies, Landau, former deputy governor of the Banque de France, told Mint in an interview on the sidelines of the 5th Kautilya Economic Conclave in New Delhi.

"We had almost three decades of very low interest rates. Long-term real rates were not a monetary factor, they were a real factor. We are coming now, maybe, to a period where this very favourable situation is coming to an end," Landau said.

In September, the US Federal Reserve raised its benchmark interest rate by 25 basis points (bps), the first hike in three



French economist Jean-Pierre Landau.

years. The European Central Bank has raised the key rates twice in 2026—in June and September, each time by 25bps.

Landau flagged three drivers of the latest change. First, global savings will likely decline, especially in emerging economies, including China, where young populations that once had high savings and are now ageing.

Second, investment needs are rising. Artificial intelligence and new digital technologies are extremely capital-intensive,

and Africa, too, will require massive funds over the next 20 years to provide employment for its population that will likely double. Third, most countries, including the developed ones, have accumulated huge debt over the past two decades.

"Those are three factors which are going to push the interest rates higher on a real basis, independently of monetary policy," he said.

It will likely force both governments and investors to be more choosy about their spend-

In September, the US Federal Reserve raised its benchmark interest rate by 25bps, the first hike in three years

ing and investments, and will reward good macroeconomic management.

"Markets are going to be more selective than before," he said.

Reflecting that investors are pricing in more risks, the yield on 10-year government bonds in the US has jumped 49bps in the past one month to 5.27%, the highest since 2002. In France, it has risen by 67bps, in Italy by 46bps and in the UK by 25bps. In India, 10-year yields have risen about 25bps, largely tracking global moves amid the West Asia crisis.

For policymakers facing the challenge of a high-rate period, Landau breaks the interest rate into three components: growth, inflation and risk premium.

The growth part is welcome, he said. "We want strong growth, so we want pro-growth policies everywhere as possible." The inflation component hinges on sticking to a prudent macro-stability framework.

As for the risk premium, it can be lowered by being predictable and stable, with ability to project policy in the long run.

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Automakers ramp up output to meet festive demand

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Leading automakers are ramping up production and building dealer inventory to meet strong customer demand as India enters the peak festive buying season, with manufacturers seeking to ensure adequate vehicle availability and convert healthy bookings into retail sales.

Car market leader Maruti Suzuki India has 220,000 pending bookings ahead of the festive season, while Hyundai Motor India has built four-five weeks of inventory across its dealer network. Mahindra & Mahindra, meanwhile, has scaled up its utility vehicle and electric vehicle manufacturing capacity to 68,000 units a month to improve supply and bring down waiting periods.

Maruti Suzuki India's senior executive officer Partho Banerjee told PTI, "At the beginning of this financial year, we had 12 days of stock. The current bookings pendency is 2.2 lakhs, which translates to 16 days of stock before the festive season.

"We have already commissioned two new production lines, adding 5 lakhs capacity in total. The production is being ramped up gradually, and we expect these lines to fully stabilize by year-end." He shared that the company is calibrating production and supplies across models to prevent waiting periods from rising disproportionately for individual vehicles during the festive period.

"For Maruti Suzuki, our supply chain and production teams are putting in efforts and trying to meet the festive demand. However, due to supply constraints, we may introduce special schemes for our pending booking customers," Banerjee said.

Cuba offers land to Indian firms for food production amid US blockade

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With Cuba facing a severe food security crisis, Cuban ambassador to India Juan Carlos Marsán Aguilera has proposed joint food production in Cuba, under which the country would provide land for Indian companies to grow rice, beans and sugarcane, with the produce also exported to other markets.

Cubans are bearing the consequences of the US tightening its blockade of the country, Aguilera said in an interview, adding that oil supplies from Venezuela and Mexico have

stopped, with no other country able to sell to Cuba.

He said that while the infant mortality rate in Cuba before the US sanctions was 4 per 100 new births, it has jumped to 10 per 100 new births, with people dying in the absence of proper medication and medical equipment.

"In the case of Cuba, in food production, if we don't have the financial capacity to buy all that we require from India, why don't we go for co-production? We offer the land in Cuba, and Indian companies can go to Cuba and produce in Cuba. We are talking about rice, beans, and sugarcane. We offer to Indian companies this possibility, go and produce there, and



Cuban ambassador to India Juan Carlos Marsán Aguilera said oil supplies from Venezuela and Mexico have stopped.

we can focus on export," Aguilera said.

US President Donald Trump passed an executive order in January 2026 stating that "the

situation with respect to Cuba constitutes an unusual and extraordinary threat," declaring it a national emergency and imposing additional tariffs on

any country that "directly or indirectly sells or otherwise provides any oil to Cuba." Trump has called Cuba an

"absolute failed state" and declared that "freedom will be coming to Cuba", in his 22 September speech at the 81st session of the United Nations General Assembly.

India and Cuba share traditionally warm and friendly relations, dating back to India being among the first countries to recognize the Cuban government after the 1959 revolution and establish-

ment of diplomatic relations in 1960. Bilateral trade between India and Cuba rose 31% to \$24.31 million in 2025-26 from

\$18.46 million a year earlier, according to data from the ministry of commerce and industry.

Aguilera said that Cuba is working very hard as a country to overcome this situation and is contacting companies including India, to participate in the Cuban economy that is undergoing an energy transition.

WARM RELATIONS

JUAN Carlos Marsán Aguilera said Indian firms would get land to grow rice, beans and sugarcane

TRADE between India and Cuba rose 31% to \$24.31 mn in 2025-26 from \$18.46 mn a year earlier

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Cash, derivatives volumes sink as oil, yields hit sentiment

FROM PAGE 1

(Sebi's) newly introduced closing auction, have dented domestic participation in both cash and derivatives markets.

The Nifty 500 declined 4% to 22,072 during the September quarter—a sharp reversal from the nearly 10% gain it posted in the first quarter of FY27. The reversal mirrors oil's own swing—Brent crude rose 34% to \$98 a barrel during the September quarter, after sliding 38% to \$73 a barrel in the June quarter, according to Investing.com. The sharp rise in crude prices has been a primary reason for the market's underperformance.

Foreign portfolio investors sold ₹1.38 trillion of Indian equities in the fiscal year through 1 October, after a record ₹1.8 trillion of selling in FY26, adding to market volatility and weighing on overall participation.

Following this, the yield on the benchmark 10-year Indian government bond rose 43 basis points (one basis point is one-hundredth of a percentage point) to 7.18% during the September quarter, according to Investing.com. Hopes of a resolution to the West Asia conflict had driven the yield down by 21 basis points to 6.75% during the first quarter.

Other factors weighing on volumes include an RBI regulation requiring banks to fund proprietary traders only against full collateral from July, and the new closing auction session (CAS) introduced by Sebi from 3 August.

"Q2 has been a bit challenging



Analysts are divided on volume recovery prospects. ISTOCKPHOTO

for the broking industry," said Ashish Nanda, chief digital business officer at Kotak Neo, underscoring the fall in volumes.

Analysts are split on the prospects for a recovery in volumes, especially in the cash market, but expect options volumes to pick up if Sebi defers the CAS requirement for derivatives settlements on weekly expiry days.

"Sebi is likely to defer the CAS for derivatives settlement

Analysts expect options volumes to pick up if Sebi defers the CAS requirement for derivatives settlements

on weekly expiry days for a year, while retaining it on non-expiry days, so many persons absent from derivatives trading will return to the fold and volumes will rise," said DK Aggarwal, chairman and managing director of SMC Capitals Ltd. "I expect cash market volumes to pick up too, especially if crude remains at or below \$100 a barrel."

However, SK Joshi, consultant at Khambatta Securities, said that while he expects options volumes to pick up, cash-market volumes could remain subdued amid higher market volatility.

Aggarwal pledges Ola shares to join ₹1,000-cr rights issue

Ola Electric had earlier said all promoter pledges were eliminated in a December transaction

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Ten months after telling investors that Ola Electric should operate with zero share pledges, chairman and managing director Bhavish Aggarwal is back to pledging his stake in the publicly listed company to participate in the company's upcoming ₹1,000 crore rights issue.

According to Mint's review of shareholding data, Aggarwal has pledged 200 million Ola Electric shares, representing about 16.3% of his total shareholding in the company, and 4.32% of the company's total equity, as collateral for debentures issued by Krutrim Data Centre.

Bhavish Aggarwal holds a 26.5% stake in Ola Electric, while his brother, Ankush Aggarwal, has a 2.98% stake through Indus Trust.

The pledge was created on 30 September, over 10 months after Aggarwal had released earlier pledges of 173 million shares, covering over a tenth of his total shareholding and 3.93% of Ola Electric's equity, following repayment of a ₹260 crore loan.

"Ola Electric promoter Bhavish Aggarwal has pledged 4.32% stake in the company, to participate in the rights issue approved by the board as disclosed in the draft letter of offer filed on 28 September 2026. This pledge is solely to fund his subscription to the issue and there are no other pledges to his securities currently; no shares are being sold. The promoter will invest alongside all other shareholders on the same terms," a company spokesperson said in a statement on Sunday evening.

The current share pledge is the largest Aggarwal has made in a single



Bhavish Aggarwal, chairman and managing director of Ola Electric. REUTERS

round, following a 7% increase in the share price since the last pledges were released after the 16 December announcement.

The latest share pledge also comes as Ola Electric prepares to raise ₹1,000 crore through a rights issue, where

ber 2025, he monetised a small portion of his personal holding to repay the loan of about ₹260 crore, resulting in the release of all 3.93% of Ola Electric shares that had been pledged. This share pledge represented about 13% of Bhavish Aggarwal's total shareholding

PLEDGE PLAY

THE 200 million shares represents about 16.3% of his total shareholding, 4.32% of total equity

BHAVISH holds a 26.5% stake in Ola Electric; his brother, Ankush, has a 2.98% stake via Indus Trust

PLEDGE created on 30 September, 10 months after he had released pledges of 173 million shares

CURRENT share pledge in Ola Electric is the largest that Aggarwal has made in a single round

existing shareholders, including the promoters, will be offered additional shares for purchase.

Aggarwal had pledged Ola Electric shares between November 2024 and December 2025 to raise debt for Krutrim Data Centre. However, in Decem-

ber 2025, he monetised a small

portion of his personal holding to repay the loan of about ₹260 crore, resulting in the release of all 3.93% of Ola Electric shares that had been pledged. This share pledge represented about 13% of Bhavish Aggarwal's total shareholding

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Rising inflation sets stage for a rate hike; 25 bps increase likely on 7 Oct: Poll

FROM PAGE 1

Federal Reserve, have led economists to move up their expectations for India's rate increases from December or February.

"There are two reasons why we are changing the timing of rate hikes to October and December (25 basis points each), from our earlier expectation of December and February 2027 of 25 bps each, attuned to the current reality of elevated global oil prices, we expect upward revisions to both the growth and inflation forecasts, which offer a solid backdrop to commence a monetary tightening cycle," Barclays said in a report on 1 October.

The inflation outlook is the clearest reason for the expected hike. Economists see price pressures broadening beyond a few food items, with higher crude oil prices, a weak monsoon and rising global commodity costs adding to the risks. The RBI's

August forecast put consumer price index (CPI) inflation at 5% for fiscal year 2027 (FY27), but several economists now expect the central bank to raise that projection.

Barclays expects FY27 inflation to be revised higher from 5%, with its own forecast at 4.8%, but with upside risks if crude remains above \$100 a barrel. It also expects another round of retail fuel-price increases if elevated oil prices persist. Gaura Sengupta, chief economist at IDFC FIRST Bank, expects headline CPI inflation for FY27 at 5.2%.

"The September FOMC (Federal Open Market Committee) hike, elevated US Treasury yields and our expectation of further Fed tightening reinforce the case for earlier RBI rate action, particularly amid renewed Middle East conflict-driven upside risks to global crude oil prices," according to a Goldman Sachs report, adding that it expects the RBI to raise rates by 25 bps in October and



Economists see price pressure broadening beyond food, with oil prices, weak monsoon and commodity costs adding to risks. MINT

December each.

Broadly, economists expect the RBI's hiking cycle to extend beyond October, but see it as shallow, with most forecasts clustered around 50-75 bps of cumulative tightening amid the cycle likely to run through December or February 2027. The RBI's last rate-hiking cycle ran from May 2022 to February 2023, during which the MPC cumulatively raised the repo rate by

250 bps.

Meanwhile, growth is giving the RBI greater room to prioritise price stability over supporting demand. GDP growth of 7.8% in April-June was 80 basis points above the RBI's August forecast.

High-frequency indicators suggest that momentum has remained relatively firm in the second quarter, even though some indicators have moderated. That strength is

prompting economists to expect the RBI to raise its FY27 growth forecast from 6.7%.

Barclays has lifted its own FY27 growth projection to 7.1%, citing stronger-than-expected Q1 performance, while Sengupta expects growth of around 7.5% in FY27, although she sees some moderation in the second half from the high base, led by weaker rural demand and

pressure on corporate margins.

BofA Global Research is even more hawkish and expects the RBI to revise its growth estimate higher. It has raised its forecast for cumulative rate hikes to 100 bps from 50 bps earlier, with a 25 bps hike in October as the starting point.

Madan Sabnavis, chief economist at Bank of Baroda, is the only outlier, expecting the RBI to leave the repo rate unchanged in October. His rationale is that a hike just before the festival season could weigh on consumption and that the RBI could wait for more clarity from September and October inflation data. Even so, Sabnavis expects 50-75 bps of hikes over the cycle.

"If rates are hiked while transmission is direct for

lending, deposit rates will be sticky as there are surplus funds with banks. By keeping repo rate unchanged, which the market is not expecting, we can see tempering of bond yields," Sabnavis said.

On liquidity, economists expect the RBI to drain excess funds from the banking system. Led by the central bank's measures, India garnered

\$143.6 billion between 8 June and 31 August through foreign currency non-resident deposits, external commercial borrowings and offshore foreign currency borrowings,

which led to excess liquidity.

Economists expect the RBI to continue with liquidity absorption measures through a mix of overnight variable rate reverse repo (VRRR), term VRRR, open market operation (OMO) sales and swaps.

Broadly, economists expect the RBI's hiking cycle to extend beyond October, but see it as shallow

Tata's Assam chip unit almost ready, non-China supply chain in place

FROM PAGE 1

unpredictable tariffs and geopolitical bargaining, India's semiconductor operations, which are finally on the verge of actually commencing, should not be prematurely halted because the commercial companies subsidised using public money are abruptly cut off from supplies of critical components," one of the two executives said on the condition of anonymity.

The strategy is driven by technology export curbs put in place by various countries including China, as well as recent disruptions arising from the West Asia war. By cultivating new vendor networks, Tata aims to ensure India's flagship semiconductor venture remains resilient against potential trade blockades, retaliatory mineral curbs, and broader geopolitical shocks.

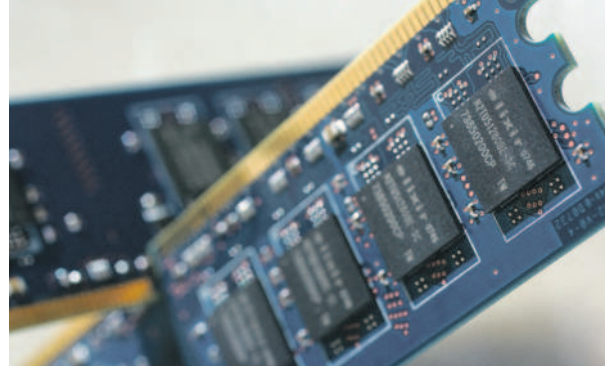
The non-China partnerships include ASMPT for training and servicing software, spares, wirebond circuitry and integrated circuit assembly; Nexperia for bringing European semiconductor supply chain vendors to India and chip testing and manufacturing of automotive products; Fujifilm to localize production and sourcing of semiconductor raw material; and Kelington for machinery and infrastructure, according to the two executives cited earlier.

Typically, Osat supply chains have 55-60% of their suppliers based in China, the second executive said, without sharing an estimate on Tata's dependence on China. The first executive added that for the company, "the goal was not to leave China and China-based partners out—but to build a diversified set of alternatives."

Operated under Tata Semi-

conductor Assembly and Test (TSAT) Pvt. Ltd, the Osat plant in Assam's Jagir Road was announced on 29 February 2024. The project had an initial net budget of ₹27,000 crore, alongside Tata's commercial chip fab in Gujarat's Dholera, announced at a net project cost of ₹91,000 crore. A semiconductor fabrication plant manufactures the actual silicon wafers containing numerous transistors, while an Osat facility cuts them into individual chips, packages them in protective housings, and tests them for final use. Both projects are backed by state and central subsidies totalling 70% of the net capital required, leaving the Tata Group to invest ₹35,400 crore into its two initiatives.

The second executive said the move to diversify the supply chain "is a part of Tata Electronics' long-term boardroom



Industry stakeholders said the Assam unit will be a key part of the profitability drive for the Tata Electronics umbrella. BLOOMBERG

strategy."

"While the general perception could be to see such a diversification as an anti-China policy, that is not quite the case. The main point of focus here should be that a geopolitically diversified supply chain is the need of the hour for various reasons. Quite simply put, outages of critical gases due to the

Middle East war is one reason why suppliers should also be located elsewhere, in order to see how far a critical commercial venture that operates in semiconductor assemblies can be protected from sudden global supply chain shocks," the executive added.

Tata Electronics did not respond to emailed questions.

Tata's early rivals in the nascent industry include US chipmaker Micron, alongside domestic players Keynes Technology, CG Power, and an HCL-Foxconn joint venture.

Tata Group holding company Tata Sons is the parent of Tata Electronics, which is leading the group's push into high-tech manufacturing, including assembling iPhones for Apple. Tata Electronics is also building its semiconductor business through TSAT, which has yet to start generating significant revenue. Over the past three fiscal years, it has incurred ₹575.54 crore in losses, though such initial losses are common for start-ups in capital-intensive sectors.

Industry stakeholders said the Assam unit will be a key part of the profitability drive for the larger Tata Electronics umbrella, which includes the company's smartphone assembly division and a third entity that

operates the pure-play semiconductor fabrication plant in Gujarat's Dholera.

"Tata's semiconductor assembly project is expected to lend scale to the company's chip ambitions, and the Osat is expected to become operational first—before Tata's chip fab also begins. For now, Tata's electronics assembly business will continue to generate the most volume, before its semiconductor business ramps up overall margins. This will be its differentiating call against other electronics manufacturing services firms," said Harshit Kapadia, vice-president at brokerage firm, Elara Capital.

Ashok Chandak, president at industry body India Electronics

and Semiconductor Association (IESA), added that Tata Electronics "is a very significant part of India's semiconductor story, and both its fab and Osat will play critical roles in helping India climb up the semiconductor value chain—and build

The strategy is driven by export curbs at various countries, as well as disruptions arising from the West Asia war

a robust supply chain in the country for future such facilities to be built at scale."

Tata Semiconductor's Jagir Road Osat is expected to commence operations by December this year, state chief secretary Ravi Kota said at a press event on 21 September. The company's first facility is spread across 592 acres of land, and is currently already operating at one-fourth of its capacity, which is slated to scale up to 48 million chips per day when it is fully operational.



Average ticket size of an apartment is ₹11.5 crore.

DLF sells out maiden senior living project for ₹1,985 crore

Madhurima Nandy
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BENGALURU

Real estate major DLF Ltd on Sunday said it has fully sold out its project named The Aureva in Gurugram's Sector 63, marking its entry into the retirement living segment.

The project has achieved sales of ₹1,985 crore, underscoring strong demand for luxury retirement living communities. Spread across 4.17 acres, the project comprises 172, four-bedroom residences with a total saleable area of over 750,000 sq. ft. It will be developed as a standalone tower rising ground-plus-45 floors. The residences will have dedicated staff dormitories and private decks. Each residence is complemented by three parking spaces and access to a suite of wellness, recreational, and lifestyle amenities.

Average ticket size of an apartment is ₹11.5 crore, at ₹28,000 per sq. ft. The project was sold out in a matter of days after DLF held a channel partner introduction meeting on 25 September.

"We were surprised by the response to the project. We got 406 confirmed EOLs (expressions of interest) within the first 48 hours. The Aureva represents DLF's vision of redefining luxury retirement housing in India. As expectations evolve beyond traditional markers of luxury, residents increasingly seek homes that enhance everyday life through thoughtful design, holistic wellbeing, seamless convenience, and a strong sense of community," Aakash Ohri, managing director and chief business officer, DLF Home Developers Ltd told Mint.

The project's sales are significant for DLF, which has set a sales target of ₹20,000 crore for fiscal year 2027 (FY27). This is the developer's first residential project launch this year. It has lined up launches worth around ₹20,000 crore this year across Gurugram, Mumbai and Goa.

DLF has project launches lined up in the coming quarters including the second phase of its Mumbai project and a luxury project in Gurugram.

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Fleur Hotels to deploy \$1 bn as Lemon Tree splits ownership

Fleur plans to acquire land, develop hotels and buy hotel assets, as it prepares for a 2027 listing

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Fleur Hotels Ltd, the hotel ownership and development arm of Lemon Tree Hotels Ltd, plans to deploy about \$1 billion over the next four to five years to acquire land, develop hotels and buy hotel assets, as it prepares for a separate listing by the end of 2027.

The planned separation will allow Lemon Tree to focus on asset-light hotel management, franchising and branding, while Fleur takes on the capital-intensive business of owning and developing hotels.

In an exclusive interview with *Mint*, Patanjali G. Keswani, executive chairman of both Lemon Tree and Fleur, said that Fleur has begun the process of launching its initial public offering (IPO) and is likely to complete the listing of its shares by the end of 2027. Fleur will serve as the group's hotel ownership and development arm, while Lemon Tree will focus on asset-light management, franchising and digital services, he added.

The separation will also define how Lemon Tree expands going forward. "Worldwide, there are four parts to the hotel business: who buys the land, designs and develops the hotel; who owns it; who manages it; and who brands and distributes it. Globally, the highest return is always on the asset-light side, which is distribution and brand," he said.

To be sure, many hotels in India, including Lemon Tree until now, have traditionally combined hotel ownership and management.

Warburg Pincus acquired APG's 41.09% stake in Fleur in January through its affiliate Coastal Cedar Investment. Separately, Warburg Pincus has committed up to \$960 crore in primary capital to Fleur, to be infused



Patanjali G. Keswani, executive chairman of Lemon Tree and Fleur Hotels.

in tranches to support the company's future growth.

Keswani said Warburg Pincus is investing roughly ₹1,000 crore in Fleur, while the company has ₹300 crore in internal accruals, taking its immediately available equity to ₹1,300

within a five-hour flight of the country. Fleur currently has more than 5,500 rooms and plans to add about 3,500, taking its portfolio to more than 9,000 rooms.

The company has four to five hotels at various stages of development,

including projects in Shimla, Shillong, Delhi's Nehru Place and Mumbai's Bandra East. Last week, it announced the acquisition of land in Mumbai for ₹120 crore to develop a 170-room hotel in Bandra East. Keswani estimates the total project cost at ₹350 crore, including the cost of land, government pre-

miums and construction. The hotel will be the group's seventh property in Mumbai, catering to business travelers, meetings, incentives, conferences and exhibitions (MICE), leisure travelers and social events.

Fleur's development in Nehru place is a mammoth 610-room hotel project. "This hotel would be the biggest single hotel in North India with an inventory of over 600 rooms and will have a project cost ₹750-800 crore," he said.

As Fleur takes over the capital-intensive business, Lemon Tree will earn management fees from Fleur-owned hotels as well as third-party properties.

Keswani expects the management fee income of Lemon Tree to more than double over the next three to three-and-a-half years and cross ₹500 crore. "With all the development of Fleur and third-party contracts that we are signing, the management fee income of Lemon Tree will start compounding at over 20% annually," he said.

The strategy will also give Fleur and Lemon Tree different roles geographically. Fleur is looking at large metros like Delhi, Mumbai, Gurugram, Bengaluru, Hyderabad, Pune, Kolkata and Chennai, where high land prices and development costs make new hotel supply difficult.

Lemon Tree, on the other hand, can expand its management network into smaller cities without committing large sums of money. The group's larger ambition is to build a hotel network that can cater to different types of travellers, rather than simply a chain concentrated in major business markets. "Our aspiration is to be the largest hotel network which will require us to expand through the franchise route to capture the unbranded small hotels segment which is over 10x of current branded supply in India."

For an extended version of this story, go to livemint.com.

Bengaluru's office parks take on the city's commuting crisis

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Commuting in India's Silicon Valley is a nightmare, making regular work-from-office difficult for employees.

Large office park owners in Bengaluru, including leading office developers and real estate investment trusts (REITs), are stepping in to address infrastructure, commuting and last-mile connectivity gaps, making the daily commute easier and more convenient for employees.

Shiny business parks surrounded by crumbling roads and persistent traffic snarls are a common sight in the southern city. Bengaluru is India's largest commercial office market, accounting for the highest office leasing volumes and remaining the most sought-after destination for occupiers. As global capability centres (GCCs) drive office absorption, they are seeking not only high-quality workplaces but better infrastructure and easier commute for employees.

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As global capability centres (GCCs) drive office absorption, they are seeking not only high-quality workplaces but better infrastructure and easier commute for employees.



Better connectivity is increasingly seen as key to employee well-being, productivity and talent retention at GCCs.

daily commutes.

It has also constructed internal flyovers, skybridges, and elevated walkways. This helps connect its properties like Bagmane Tech Park to Bagmane Cosmos, allowing seamless inter-campus transit for employees flitting between meetings or food courts.

"Modern workspace development is no longer confined within the boundaries of a tech park. For us, public infrastructure integration is both a civic duty and an operational necessity. By investing in the Bagmane DRDO Sports Complex Metro Station, building dedicated rail over-bridges, and creating internal flyovers, we are directly easing the last-mile friction for our tenants' workforces," said Ashay Shah, chief financial officer, Bagmane Prime Office REIT.

With employee experience at the forefront of corporate agendas, the entire door-to-desk journey is now more important than ever. High employee attrition comes at a significant cost, prompting companies to look for ways to improve the workplace experience and retain talent.

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As global capability centres (GCCs) drive office absorption, they are seeking not only high-quality workplaces but better infrastructure and easier commute for employees.

"When you drastically reduce daily commute stress, you significantly improve employee well-being, productivity, and talent retention for global occupiers," Shah added.

Earlier this year, the International Tech Park Bangalore (ITPB) in Whitefield opened the ITPB Metro Skywalk, a footbridge linking Pattandur Agrahara Metro Station (ITPB Station) directly to the office park, that serves over 55,000 professionals, and to Park Square Mall.

The project was a collaboration between CapitaLand India Trust (CLINT) and the Bangalore Metro Rail Corporation Ltd (BMRCL) to improve last-mile connectivity in the Whitefield corridor.

"The objective was to improve last-mile connectivity and make public transport a convenient option for the thousands of people who commute to ITPB every day. We saw an opportunity to create a seamless connection between ITPB Station and the park, eliminating the need for commuters to navigate busy roads while improving safety, convenience and accessibility," said Gauri Shankar Nagabhushanam, chief executive, CLINT.

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Microdramas to K-dramas, India's OTT diet is changing

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Microdramas, Korean dramas and anime have emerged as the fastest-growing content formats since 2025, outpacing homegrown content across languages as younger viewers embrace international storytelling and diverse genres.

Audience sizes for microdramas, K-dramas and anime grew 50%, 48% and 32%, respectively, a Ormax Media report says. The findings are based on a survey of 15,000 respondents conducted in June and July 2026. India's OTT audience universe is estimated at 664.9 million.

Consumers are becoming comfortable matching different formats to different screens and consumption occasions, including bite-sized content during smaller pockets of time through the day.

"Growth of microdramas, K-dramas and anime reflect how audiences are becoming more open to different formats and storytelling styles," said Sanjay Dwivedi, Group CEO and chief financial officer, Balaji Telefilms. "Microdramas, in particular, are designed around mobile-first, short-session consumption, while K-dramas and anime bring distinctive storytelling, genres, and production styles to Indian audiences."

Part of the high growth rates reflects the fact that these formats are still expanding their addressable audiences, while Indian films and long-form series are significantly more established content categories, said Hemant Kaul, partner and leader, research and insights, BDO India.

Microdrama is still largely a category-creation story, relatively new and scaling rapidly. K-drama had a major inflec-



Microdramas, K-dramas and anime are fastest-growing formats, with audiences rising 50%, 48% and 32%, respectively.

tion point around the pandemic, so its current growth is better understood as category broadening, as wider distribution and localisation help it reach audiences beyond its initial fan base. Anime is an even older format in India, but is now moving further into the mainstream, Kaul added.

The wide availability of such content in dubbed languages, often for free, has ensured deep penetration, according to Keerat Grewal, head, business development (streaming, TV & brands), Ormax Media. Platforms, including big players like Netflix, are making a concentrated effort to offer the same, she added.

Cost is a major factor. A micro-drama episode costs about ₹20,000 to ₹50,000 to produce, against over ₹25 lakh for a typical OTT original, said Bhavesh Joshi, founder and CEO of MovieMe. That allows platforms to iterate fast and cheaply. Meanwhile, long-form is moving the opposite way: Indian originals fell 18% in 2024 and another 13% in 2025 to their lowest count since 2020, Joshi added.

There's also an emotional specificity angle. These formats don't try to appeal to everyone, but are built around specific tone, character archetypes, and emotional payoff,

according to Anshita Kulshrestha, founder, TukTuki Entertainment.

Platforms are also becoming more selective about large long-form investments. Consolidation has concentrated content greenlighting among a smaller number of teams, said Vinay Pillai, chief business officer, Pocket Aces.

Overall content spending will remain healthy, but spending per intellectual property and the cost per minute are likely to decline. Platforms are also focusing on building IPs that generate longer watch times, alongside a few large-scale properties that can drive subscriptions, Pillai added.

Long formats build equity, drives customer acquisitions and give OTTs cultural relevance but is also high risk, said Harikrishnan Pillai, CEO and co-founder, TheSmallBigIdea. Neo-formats are frequency devices for customer acquisition, but at one-tenth the pace.

"Platforms are reserving massive budgets for tentpole event programming like big franchises and star-led movies while cutting back heavily on middle-tier long-form shows mainly because they see audience appetite is being fulfilled by mobile entertainment or imported IPs," said Sharlton Menezes, vice-president, IP and key partnerships at Pratilipi & Double Tap Films.

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Paramount debt slump rattles bond markets

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Borrowing is getting harder for companies. Funding costs have surged as inflation fears have climbed globally. The average yield on a high-grade US corporate bond topped 6% this week for the first time since 2023, and risk premiums in the US climbed to their highest in six months.

Companies are feeling the impact. Paramount Skydance Corp. sold about \$50 billion of buyout debt across markets this week, only to see much of it weaken within hours. Soup maker Campbell's Co. and Bain Capital Credit LP's private credit fund found lackluster demand for their bond sales this week. And a handful of corporations, including Brazil's MBRF Global Foods Co. SA, chose to delay financings in high-yield markets.

The upshot is that the pace of issuance in the US for the rest of the year will probably slow down even more than investors had previously anticipated. High grade sales in the US year-to-date are up about 30%, but firms are expected to sell around \$100 billion of investment-grade bonds in the US this month, down from \$132 billion in the same month last year, and from nearly \$195 billion in September.

"Between some of the messy new issuance performance, coupled with bonds that can't find enough demand, bond sales will underwhelm heading into year end," said Scott Kimball, chief investment officer at Loop Capital Asset Management. "That could spill over into 2027 very easily."

Firms that can wait, are doing so. Only four borrowers tapped the US high-grade bond market this week, as Paramount's \$30 billion offering took up most of the oxygen.

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EVERYONE HAS A THEORY OURS HAS THE NUMBERS

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LOOK FOR NUMBER THEORY IN HINDUSTAN TIMES

श्यामा प्रसाद मुखर्जी पोर्ट, कोलकाता
Syama Prasad Mookerjee Port, Kolkata
(Formerly KOLKA-17A PORT TRUST)
NIT No. SMP/KDS/Mech/C/ADP/736 dated 25.09.2026
Electrical installation work along with civil foundation work of light poles for illumination at several locations along the Hugli River banks for aid in night navigation of ships of KDS, SMP, Kolkata with operation and maintenance for three years (Phase-II)
Estimated cost put to tender: Rs. 5,36,92,150.00 excluding GST
Pre-Bid Techno-commercial Conference: 09.10.2026 at 11:30 hrs.
Last date of online submission: 29.10.2026 upto 12:00 hrs.
Date of opening of tender: 30.10.2026 after 12:00 hrs.
For details: Please log on to smpportkolkata.shipping.gov.in
For online submission of tender: Please log on to <https://eprocure.gov.in>



Earlier in the week, government revisions to the Fed's preferred price gauge showed inflation has been a bit softer this year. REUTERS

Fed, ECB minutes to show inflation risks; hike bets fade

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Any urgency among Federal Reserve and European Central Bank policymakers to follow up September interest-rate hikes at this month's meetings has been dialled back in the wake of soft US jobs data and acute stress in French financial markets.

Both central banks in the coming days will release minutes of the meetings last month at which they raised benchmark rates, bowing to concerns about mounting inflationary pressures.

In the US, solid economic growth has been bolstering the job market, allowing the Fed to zero in on inflation. Minutes of the Fed's September gathering, due on Wednesday, could reveal that many policymakers were deeply worried about underlying price trends and expecting to lift rates at least one more time before the end of the year.

However, fresh employment data on Friday showed lower-than-expected job creation and lackluster wage growth—adding to evidence that the labour market isn't contributing to existing inflationary winds.

Earlier in the week, government revisions to the Fed's preferred price gauge showed inflation has been a bit softer this year.

"The hurdle for an October rate hike is now high. Even if the minutes remind markets how hawkish officials were in September, subsequent data have strengthened the case for patience. Sticky services inflation could keep open the option of a December hike—but the Fed will probably need clearer evidence that price pressures have re-emerged before tightening again," said Bloomberg analysts Anna Wong, Andrew Sacher and Eliza Winger.

Moreover, two senior rate-setters—Fed Vice Chair Philip Jefferson and New York Fed President John Williams—sent

unambiguous signals just two days apart that they saw little urgency for the Fed to make another move. Investors duly reeled in their expectations for a hike.

US central bankers will meet 27-28 October, days ahead of hotly contested midterm election, threatening to drench the outcome in partisan politics.

On Thursday, the ECB will release the account of its 9-10 September meeting and investors will watch for clues on the timing of the next ECB hike.

In the euro area, the latest figures showed inflation accelerated in September by more than forecast, largely due to war-driven energy costs. Despite the still-elevated price pressures, investors see very low chances of an October interest-rate hike.

Bond-market stress has spread globally, with France hit particularly hard as its fractured parliament fuels concerns over the budget and deficit.

In the US, solid economic growth has been bolstering the job market, allowing the Fed to zero in on inflation

Elsewhere, Canadian unemployment and trade data will show the fallout from the country's tariff war with the US. Central banks from about a dozen countries are due to set rates, with hikes expected in India, Kenya and Peru.

A big focus will be the Indian central bank setting borrowing costs on Wednesday. Economists expect the Reserve Bank to hike its repurchase rate to 5.5%, joining peers in Japan, Australia and the US in tightening.

Taiwan, Thailand, and the Philippines will release consumer price numbers during the week, with all three forecast to show inflation sped up in September.

Through the week, a series of countries will report foreign reserves data, with South Korea, Taiwan and China the main ones to watch to see if any of the money from their soaring trade surpluses is appearing in the numbers.

India and Thailand will also do so.

Russia vows to step up strikes, warns diplomats to avoid Kyiv

The warning came the same day its forces struck the Pivnichnyi in Kyiv for a second time and other civilian infra

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Russia said it would intensify attacks on Ukraine's infrastructure following a vow from President Volodymyr Zelenskyy to double down on strikes against oil refineries, a day after Moscow's foreign ministry warned that foreign diplomats in Kyiv were in "mortal danger."

"The Russian armed forces will intensify strikes against military and military-industrial facilities, as well as related infrastructure in Kyiv and other regions of Ukraine," the Russian Defense Ministry said Sunday on Telegram.

The ministry cited comments Zelenskyy made in an interview with Reuters published on Sunday, in which the Ukrainian president said his country had to respond to attacks on energy infrastructure by targeting Russian oil refineries, which "gives money to them for this war."

The warning came the same day its forces struck the Pivnichnyi, or Northern, bridge across the Dnipro River in Kyiv for a second time, as well as other civilian infrastructure.

Zelenskyy announced the strike Sunday on the X platform, and said Russian forces also hit a pharmaceutical warehouse in Sumy in the country's north and a communications facility in Dnipro. One person was killed and six injured in the attacks, he said.

Russia hit the same bridge, a key artery for the city's residents, and a logistics centre near the capital a day



Russia hit the Pivnichnyi, or Northern, bridge across the Dnipro River in Kyiv, a key artery for the city's residents. REUTERS

earlier and carried out another strike on Kyiv's southern road-and-rail bridge last week. Russia said on Saturday that the bridge was being used to transport military equipment.

Separately, Chancellor Friedrich Merz arrived in Kyiv on Sunday morning for talks with Zelenskyy, reiterating Germany's backing for Ukraine and the dangers posed by

Russian President Vladimir Putin.

Hours before Merz's arrival on an overnight train, Russia's foreign ministry said it urged "foreign nationals, personnel of diplomatic missions, to refrain from remaining in or travelling to Ukraine."

"Many embassies continue to operate in Kyiv, and foreign officials continue to travel to Ukraine on official

visits," the ministry said in a Telegram post. The "responsibility for any possible adverse consequences lies entirely with those who choose to disregard this warning," it added.

Last month, the locomotive of a passenger train heading to Warsaw from Kyiv—the main means of travel in and out of Ukraine for foreign officials—was hit by a Russian drone

near the Polish border. The strike marked the latest escalation by Russia as acts of sabotage, arson and drone incursions proliferate across the continent.

In recent weeks, Russia has intensified its campaign against Ukraine's civilian infrastructure. Kremlin forces have increasingly targeted residential areas, mail services, and internet and mobile phone providers, in addition to cargo vessels.

Moscow has aggressively attacked Ukrainian energy sites ahead of and during winter throughout the more than four-year war, as it seeks to depress morale and compel Kyiv to accept its terms to end the fighting.

The Defense Ministry in Moscow said recent attacks were "specifically in response to the actions" of leadership in Kyiv, citing strikes during Russia's parliamentary elections last month as well as during the St. Petersburg International Economic Forum in June. The ministry also said overnight attacks on the Belgorod region resulted in casualties as well as damage to apartment buildings and private homes.

Zelenskyy told the Financial Times last week that the increase in strikes on civilian targets had come after Putin instructed his military leaders to abandon the rules of war. Zelenskyy cited intelligence intercepted by Kyiv; Russia hasn't commented on the claim.

"It is important that Ukraine is not left alone against this terror," Zelenskyy said on Sunday. "Russia must be held accountable for this escalation."

The Swiss watch industry is shrinking—but getting swankier

The Economist

BUYING A Rolex is an odd experience. Choose nearly any model on display at one of the Swiss watchmaker's authorised dealers and you will be told that, unfortunately, it is unavailable at this time. Should you still wish to part with SFr14,000 (\$16,800)—the average retail price of a Rolex—you will have to join a waiting list.

Thousands do so every day. Rolex sold almost 1.2m watches last year, bringing in revenue of more than SFr11bn, up from around SFr8bn in the early 2020s, thanks to higher prices (volume barely increased). For much of the Swiss watch industry, the clock is ticking. Over the past decade the volume of exports (which make up 95% of sales) has fallen by half (see chart). Sales of quartz timepieces,

which use electronic rather than mechanical movements, have been hit particularly hard by the rise of smart watches, most of which are made in Asia. But for Rolex and a few other luxury watchmakers, times are better than ever.

Even as the volume of exports has tumbled, their value has continued to rise. In August it was 9.1% higher than a year earlier, the fourth year-on-year rise in as many months. Switzerland is home to around 450 brands. But last year just five of the poshest—Rolex, Cartier, Patek Philippe, Omega and Audemars Piguet—captured 60% of revenue. All bar Omega have been gaining share. The very top end has been especially strong. In 2025 watches costing more than SFr50,000 accounted for 37% of the value of Swiss watch exports, up from 33.5% in 2024. That partly reflects rising precious-metals prices, but also the rude financial health of the very rich and their



Switzerland is home to around 450 watch brands. AFP

demand for something special.

"The pandemic and the subsequent years have made the industry more adventurous," says Ben Küffer, chief executive of Norqain, a Swiss family-owned firm whose watches sell for an average of SFr4,500. Many brands invested in new materials and more sophisticated movements to differentiate themselves. In the casing of its Wild One Meteorite Special Edition, a luxury sports watch, Norqain used a high-perform-

ance carbon-fibre composite; the dial was cut from an iron meteorite from Sweden. The firm made only 300 of them.

The upmarket switch has not been good for Swatch, the largest listed Swiss watchmaker. Swatch is credited with saving the industry in the 1980s, when its snazzy plastic quartz watches held their own against cheap Asian alternatives. These days it is struggling. It largely missed the "premiumisation" wave, says

Jean-Philippe Bertschy of Vontobel, a bank (Swatch owns Omega and other fancy brands, but their results have been mixed). Its share price is more than 40% lower than it was in early 2023, and nearly 70% below its peak in late 2013. Last year its net profit plunged by almost 90%. It maintains a bloated production infrastructure. Swatch once made up to 15m watches a year in 150 Swiss factories. It now makes just 4m, but has not closed any of those sites.

In May a collaboration with 151-year-old Audemars Piguet gave Swatch a boost. When the pair launched Royal Pop, a plastic pocket watch with the look of Royal Oak, an Audemars Piguet classic, buyers all over the world queued for hours. (A similar Swatch-Omega fusion in 2022 had pushed the group back into profit after the pandemic.) The buzz lifted sales in the first half of 2025, but net profit was still down on a year earlier.

Cartier apart, all the dominant group of luxury brands are privately owned, often by founding families such as the Audemars and Piguet clans. Most of them are at least 100 years old, but even newcomers can benefit from the premiumisation trend. Norqain was founded only in 2018 but already sells up to 10,000 watches a year.

Rolex remains king of the ring. Its sales are three times those of second-ranked Cartier. It is owned by the Hans Wilsdorf Foundation, a charitable trust set up in 1945 by the firm's childless founder, which channels profits back into research and development and supports philanthropic causes in the canton of Geneva. Rolex says the scarcity of its wares is not deliberate policy, but the result of its focus on craftsmanship. It is time that is scarce.

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The '90s are back in style. Levi's is cashing in.

Kelly Cloonan
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Nineties nostalgia is back. That couldn't have come at a better time for Levi Strauss.

Sales at the brand, whose jeans were one of the 1990s core staples, sagged after consumers shifted to newer designs and the company failed to capitalize. Yet rebounding interest in low-rise jeans and other looks from the decade has given the iconic brand a new life.

Levi's is trying to take advantage of the back-to-the-future shift in style tastes. The company is offering new designs that mimic its coveted vintage pairs, like the 517 jeans featured in "Love Story," the hit show chronicling the romance between John F. Kennedy Jr. and Carolyn Bessette Kennedy.

It is also trying to move beyond jeans by branching into other pieces from the period, such as slip dresses and leather jackets.

"We're already synonymous

with the '90s style," Levi's Vice President of Global Marketing Anne Cambria said in an interview. "We really want to amplify the moment."

The on-trend products, along with a push to sell directly to consumers through its own website and growing fleet of branded stores, is putting Levi's on its strongest business footing in years, according to analysts.

The company forecasts as much as 7.5% sales growth for the year ending in November. Such growth would mark Levi's biggest annual revenue gain since going public again in 2019, excluding a postpandemic rebound.

Among the shoppers who are back to buying Levi's denim is Jackie Schexnaider, of Lafayette, La. Schexnaider, 47 years old, grew up wearing Levi's jeans she bought at a local department store but later abandoned them for trendier and stretchier styles from brands like AG, Gap and

Paige.

Now, the content creator is back to buying Levi's rigid denim, this time straight from its website. "The vintage Levi's look is so popular right now," she said. "The wash in certain styles are giving that throw-back vibe."

Levi's, despite its gains, still faces challenges. Its profit isn't up as much as sales, because of marketing costs, tariffs and a shift to outsourcing more of its order fulfillment, after mostly using distribution centers it owned and operated. And analysts said the company is taking a big risk betting on branded stores. For the stores to succeed, Levi's will need real-estate and merchandising expertise it didn't need before and for consumers squeezed by higher gas and other prices to keep making purchases in stores.

"If you build them and the consumer doesn't come, you're kind of screwed," BNP Paribas analyst Laurent Vasil-

escu said. Founded in 1853, Levi's long operated as a wholesale men's denim business selling the same rigid jeans it once made for miners during the California gold rush. It became a streetwear fixture during the 1990s, when everyone from Kate Moss to Princess Diana to Steve Jobs—not to mention the cast of "Friends"—donned its flagship 501s.



Levi's is trying to move beyond jeans. BLOOMBERG

Shoppers often sized up to get a lower rise, and women frequently bought men's styles like the 517 jeans worn by Bessette.

Sales slowed, however, after ultra-low-rise stretchy jeans and premium denim gained popularity. Levi's also kept relying on department stores and other retailers, while competitors like Gap embraced e-commerce. Sales cratered. Levi's, which was privately owned from 1985 to 2019, is

clawing its way back. Revenue is up more than 11% on a reported basis to \$3.3 billion in the first half of this fiscal year. Due to this progress, the company has raised its full-year guidance twice. Analysts say that outlook is still conservative. Levi's reports its third-quarter results this week.

Now swarms scour vintage stores hunting for Coach purses, Champion sweatshirts and Ralph Lauren pullovers popular in the 1990s, as well as vintage Levi's.

Shoppers also are showing interest in products inspired by Levi's archives, said Jana Henning, chief merchandising officer for the company's women's business. Among the newly popular offerings: a slouchier, lower-rise version of its flagship jean sold as 501 '90s, and its wedgie bootcut fit, which was designed to flatter the backside.

Levi's has also expanded its assortment of flow-rise jeans, a style that caught on toward the end of the 90s.

"Our fashion business has never been as strong as it is

right now, and really the engine behind that is low," Henning said. Levi's is seeing its low-rise jeans "just grow disproportionately within the business."

As part of its turnaround strategy, the jeansmaker is trying to move beyond jeans and dress consumers from head to toe. It has been selling an assortment of other core '90s wardrobe staples like baby tees, in addition to slip dresses and leather jackets.

The changes have improved Levi's performance, analysts said, largely because of another shift in the company's playbook. It is selling more directly to consumers, allowing it to highlight its most on-trend styles—and show off other items to go with it—rather than rely on other retailers.

"They're back in the cultural conversation now," Telsey Advisory Group's Dana Telsey

said. "They're adaptable to different fashion trends, and their customer relies on them to be the authority on denim."

Earlier this year, women shoppers flooded Levi's e-commerce website with searches for the 517 jeans, a men's style in which they were featured in "Love Story."

In search results, Levi's also showed the shoppers its

wedgie bootcut and 501 '90s fits to appeal to women specifically, because the designs emulate vintage styles but have a more precise fit designed for women's bodies, said Priya Buening, head of U.S. e-commerce.

"It's the job of the brand and the branded website to say, 'Hey, we think this is what you're saying. This is the product that we actually think meets that need,'" Buening said.

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NEWS
NUMBERS

43

THE NUMBER of countries India sources crude oil from, widened from 27 to reduce exposure to geopolitical shocks and avoid concentration in any single source.

₹62 cr

THE OPENING day net box office collection of Ajay Devgn's *Drishyam 3: The Conclusion*, making it the fourth biggest film opener of all time, per Sacnilk.

140

THE NUMBER of Indians discharged from the Russian army, while India remains in touch with Moscow regarding 55 Indians still reportedly serving.

\$102 mn

THE AMOUNT Google co-founder Sergey Brin spent to oppose California's proposed billionaire wealth tax, making him the biggest contributor against it.

₹19,206 cr

THE REVENUE from operations of D-Mart operator Avenue Supermarts for the quarter ended 30 September, up 18.4% from the same period last year.

HOWINDIALIVES.COM

India, Canada to begin 5th round of talks



Both countries are targeting to conclude the negotiations by the end of this year.

BLOOMBERG

The chief negotiators of India and Canada will begin the fifth round of negotiations for the proposed Comprehensive Economic Partnership Agreement (CEPA) in Ottawa from 5 October, with an aim to conclude

the talks by the end of this calendar year, an official said. The five-day talks may end on 9 October. The fourth round of negotiations concluded here on 18 September. The talks are moving at a faster pace as both countries are targeting to conclude the negotiations by the end of this year. The negotiations are important as Prime Minister Narendra Modi is expected to visit Canada around December this year, Canadian Prime Minister Mark Carney has said last month. To give a further impetus to the talks, Canada's Trade Minister Maninder Sidhu will visit New Delhi later this month with a 300 strong business delegation. Sidhu and Commerce Minister Piyush Goyal met in Mumbai last month to review the progress of negotiations. CEPA is a kind of free trade agreement in which two countries either significantly reduce or eliminate customs duties on the maximum number of goods traded between them.

PTI

Protests continue in Delhi, Mumbai

Indians rallied for a third day on Sunday demanding the election commission chief's resignation, while police launched an investigation into sexual harassment allegations against officers during protests in New Delhi a day earlier. Protests began on Friday demanding the Election Commission of India (ECI) chief Gyanesh Kumar step down, alleging wrongdoing during a large-scale voter-roll revision that has removed millions of names from the lists.

The ECI has rejected allegations of wrongdoing. Kumar himself has not commented. Thousands marched in Mumbai on Sunday, waving Indian flags, demanding Kumar step down.

PTI



Jaishankar said it is focusing on ensuring the safety of shipping in the Black Sea.

PTI

India eyeing Ukraine solution: Jaishankar

India has moved beyond advocacy and stepped up its efforts in recent months for the resolution of the Ukraine conflict by engaging in conversations with both Kyiv and Moscow, external affairs minister S. Jaishankar said on Sunday, in a first public acknowledgement of New Delhi's role in ending the lingering war.

Jaishankar's comments at an event came days after Russian President Vladimir Putin said Prime Minister Narendra Modi has "good ideas" to find a mutually acceptable solution to the conflict. Ukraine foreign minister Andrii Sybiha said on Friday that Kyiv received separate proposals from India and three other nations for a possible ceasefire.

Sharing some details of New Delhi's efforts, Jaishankar said it is focusing on ensuring the safety of shipping in the Black Sea as well as on grain exports and energy supplies.

"Our position on that conflict has been very clear, which is that we would like to see an end to this conflict. This will require dialogue and diplomacy. There has to be negotiations in this regard," he said at the Munich Leaders' Meeting in New Delhi.

PTI



REUTERS

Opec+ agrees to keep oil output targets steady

The plans come as oil futures creep back up to the \$100-a-barrel mark and diesel hits records

Bloomberg
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Major OPEC+ nations agreed to keep oil production quotas unchanged next month, as conflict in the Middle East continues to shutter swaths of the group's output.

A sub-group of seven countries led by Saudi Arabia and Russia will keep targets steady in November, the coalition said in a statement following a monthly video conference on Sunday.

It's in line with their existing production roadmap.

The plans come as oil futures creep back up to the \$100-a-barrel mark and diesel hits records at the pump amid the ongoing conflict in the Middle East, spurring the Group of Seven nations to release emergency stocks to calm the markets.

The Organization of the Petroleum Exporting Countries (OPEC) and its allies had already signalled that they would pause production quota hikes through the end of this year, after agreeing to a series of modest increases in the

six months through August.

Those increases, which were largely symbolic because of the impact that the US-Iran war has had on the Persian Gulf region's output, theoretically unwound cutbacks made back in 2023 and may give the group's Gulf members greater scope to boost output when the conflict abates.

The US-Iran war has blunted the impact of any decisions the grouping has made because the oil production in leading OPEC members such as Saudi Arabia, Iraq and Kuwait remains significantly below levels pumped before the conflict.

The seven-nation sub-group will convene online again on 1 November, according to Sunday's statement. It will likely finalize plans for December at that gathering.

The alliance's next major decision will be whether to restore another layer of halted output taken offline in 2022, a complicated process likely to be shaped by the outcome of an ongoing audit of members' production capacity.

Policy for next year will be settled at a full ministerial meeting on 29 November.

Steel ministry seeks overseas mining

The Steel Ministry has asked its undertakings, Steel Authority of India Ltd (SAIL) and National Mineral Development Corporation (NMDC), to explore mineral assets abroad to help secure long-term raw material requirements and support input costs, an official said. SAIL is India's largest public sector steel-making entity, and NMDC is the country's leading iron ore player.

On a query on whether steel public sector undertakings, especially SAIL and NMDC, have been asked to look for mining assets abroad, the senior ministry official replied in the affirmative.

The move will help secure future requirements and reduce cost, the official said without sharing further details.

PTI

RBI MPC: BEGINNING OF CALIBRATED HIKE CYCLE

EXPERT
VIEW

SIDDHARTHA SANYAL

Respond to this column at
feedback@livemint.com

Macro, financial markets and geopolitical conditions have witnessed a host of critical developments since the previous Reserve Bank of India (RBI) monetary policy committee (MPC) meeting in early August.

First, the prospects of a near-term resolution to the West Asia conflict, which had appeared plausible a couple of months back, have again faded. Brent crude prices have risen by about 23% since then, averaging over \$95 per barrel and materially exceeding the RBI's oil price assumption of \$90 per barrel for 2026-27. Globally, activity indicators have generally been resilient, while inflation staying elevated, if not inching higher.

Global meteorological organizations are also reporting that El Niño conditions are set to be the strongest on record, which could mean a global supply shock. Monetary policy has turned notably more hawkish globally of late, with the US Federal Reserve (Fed) delivering its first rate hike since 2023, joining its counterparts in Europe, Japan, Australia, New Zealand, Norway, Korea, Indonesia and the Philippines. The US dollar has further strengthened, with the dollar index rising 2% in September alone.

Back home, headline CPI (Consumer Price Index) inflation rose to a 20-month high in August, while elevated input cost pressures pushed WPI (Wholesale Price Index) inflation near 10%. There are also early signs of price pressures broadening, with nearly 40% of CPI items registering upticks above 4% year-on-year, up from about 22% in Q1. That said, core inflation excluding precious metals remains contained at around 3.3%, suggesting that underlying domestic price pressures are yet to become generalized.

The risk of food, fertilizer and energy shocks feed-



As of now, RBI expects real GDP growth to fall below 7% in the coming quarters.

MINT

ing into broader inflation dynamics has increased materially, given the heightened probability of persistent weather-related disruptions to both summer and winter crops, alongside continued tensions around key energy supply routes.

Headline GDP (gross domestic product) growth surprised markedly on the upside again in Q1 2026-27 at 7.8% (against the RBI's 7% estimate), buoyed by robust capital formation, consumption and exports. Industrial activity and investment intentions remain generally healthy, too.

Bank credit growth, at 18%, had been particularly strong. However, some high-frequency indicators present a more nuanced picture. For instance, the RBI's urban and rural consumer confidence prints are at three-year lows. Purchasing managers' indices (PMIs) too hit multi-year lows in Q2 and manufacturing capacity utilization stayed largely unchanged from the post-covid period. As of now, RBI expects real GDP growth to fall below 7% in the coming quarters.

On balance, one expects the MPC to deliver a rate hike in October, but a calibrated 25 basis points, along with a change in the hitherto "neutral" stance and guidance for a data-dependent policy response in the coming months. Managing liquidity at an appropriate level is key for transmission of monetary policy signals. Following the FCNR (foreign currency non-resident) flows, system liquidity surplus has recently been near ₹5 trillion, compared with typically ₹2 trillion earlier this summer. RBI, therefore, looks set to con-

tinue proactive liquidity-management operations. Developments in the external sector, including the rupee, have been particularly significant of late. The FCNR scheme attracted a whopping \$134 billion inflow, surpassing expectations by a huge margin and adding gunpowder to the RBI's kitty to support the currency, if needed.

Nevertheless, the rupee shed much of its recent gains in September, ending the quarter almost flat at over 96 per dollar, underscoring the complexity of the external environment. This is in stark contrast to the near-10% gain in the rupee within months of the previous FCNR scheme roll out in September 2013, which garnered only around \$30 billion.

Indeed, global short-term yields have moved higher in line with higher policy rate expectations while longer-end yields have been hovering around decade highs primarily due to debt sustainability

concerns. For example, the US-India 10-year and 30-year yield spreads have now narrowed to around 200 basis points, down from over 450 basis points around the start of the decade.

This combination of compressed interest-rate differentials and a deteriorating energy import bill is likely to keep pressure on the rupee, further strengthening the case for a hawkish RBI response.

In sum, the current balance of risks points to a calibrated rate hike and continued liquidity absorption. The MPC is likely to stay flexible and data-dependent amid an exceptionally volatile geopolitical backdrop, fluctuating commodity prices, and uncertainty over the global central bank policy path.

This uncertainty is neatly captured in the US, where market-implied odds of a US Fed rate hike in October dropped dramatically from over 70% to below 25% in four days in the last week.

Siddhartha Sanyal is chief economist and head of research at Bandhan Bank. Sudarshan Bhattacharjee and Gaurav Mukherjee contributed to this column. The views are personal.

FSSAI orders Everest cumin powder recall after safety tests

PTI
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NEW DELHI

The Food Safety and Standards Authority of India (FSSAI) has directed Everest Food Products to recall 'pre-packed cumin powder' from the market after sample tests found it unsafe for consumption. FSSAI also suspended the license of Creative Bakers and Confectioners.

In a social media post on Sunday, FSSAI said it continues to enforce strict regulatory compliance to safeguard consumer health across the country. "FSSAI licence of Creative Bakers and Confectioners Pvt Ltd has been suspended with immediate effect due to severe hygiene deficiencies," it said.

Moreover, the FSSAI has issued a product recall order against Everest Food Products Pvt Ltd.

The regulator has directed Everest Food to "immediately recall 'Pre-packed Cumin Powder' after tests declared the sample unsafe".

A regulatory sample of "Pre-packed Cumin Powder" was drawn from the premises of Riverside Resorts & Holiday Homes Pvt Ltd, Goa.

"The Food Analyst's report found pesticide residues of Azoxystrobin and Thiamethoxam at levels exceeding the prescribed maximum limits," it said.

The food analyst declared the sample "UNSAFE" under the Food Safety and Standards Act, 2006.

IMF says rupee cushions Fed hike

The International Monetary Fund has said the US Federal Reserve's decision to hike interest rates would contribute to tighter global financial conditions and suggested that India allow the exchange rate to act as a shock absorber.

An IMF spokesperson on Friday said rate hikes by the Federal Reserve have historically created some pressure for emerging markets through capital flows, financing conditions, and exchange rate movements.

On 17 September, the Federal Reserve raised interest rates for the first time since July 2023 and indicated another hike could follow, as part of its effort to combat inflation.

The spokesperson said that, as with other countries, the impact on India would depend on the magnitude, pace, and persistence of the tightening cycle, as well as domestic economic conditions.

PTI



The move could enable around 9.5 lakh small sellers to access the national market.

ISTOCKPHOTO

GST council seeks compliance relief

The GST (goods and services tax) Council is likely to consider sweeping process reforms on Wednesday to make tax compliance easier for businesses, including allowing small e-commerce sellers to use platform warehouses for GST registration, protecting genuine buyers' input tax credit and reducing low-value litigation, the officials said.

The proposals, part of the GST 2.0 process reforms, seek to simplify registration and return filing, make goods movement more predictable and reduce disputes between taxpayers and the tax department.

The move could enable around 9.5 lakh small sellers to access the national market without establishing physical offices in every state where their goods are stored, while creating greater tax parity across competing e-commerce business models, people familiar with the matter said.

PTI

Canon eyes local service centres

Japanese imaging and optical major Canon had discussions with all those engaged in key semiconductor manufacturing projects in India and plans to bring its technology and service centres to the country, said its India president and chief executive officer Toshiaki Nomura.

Canon, a global supplier of lithography systems used in semiconductor manufacturing, said it is looking to support the development of India's semiconductor ecosystem as the government steps up efforts to establish domestic chip fabrication capabilities.

The Japanese technology major is sensing a "great opportunity" in the upcoming semiconductor manufacturing ecosystem promoted by the government, and the company will bring its technologies (lithographic machines) to help assist chip manufacturers to produce chips in India, he said.

PTI

India leads Asia growth for NetApp

India is NetApp's fastest-growing market in Asia, with the BFSI, manufacturing, IT services and public sectors - particularly central and state government departments - as key drivers of the company's revenue growth, chief executive officer George Kurian said.

The San Jose-based data infrastructure company has also grown its global capability centre in Bengaluru, with the majority of global R&D processed out of the centre.

With a team of about 4,000 engineers, the centre is the largest for NetApp and is core to the global innovation work for the company across technology areas.

"India has been the fastest-growing market in Asia, and we are always looking to grow faster," Kurian told PTI on the sidelines of Insight 2026 here. NetApp's global capability centre in India has become the company's largest and has consistently grown faster than the rest of the business, the India-born CEO of the company said.

PTI

ANGEL ONE IS SHRINKING. BUT WHAT IS IT BUILDING?

After reinventing itself for the digital age, Angel One faces its toughest test yet.

Samiksha Goel
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BENGALURU

There was a time when becoming a stock market investor involved more effort than downloading an app.

You had to walk into a brokerage branch, open an account, meet a relationship manager and leave with a stack of research reports. Brokers printed sector reports, company notes and weekly newsletters in booklets.

For Angel One, founded in 1996 by Dinesh Thakkar as a traditional stockbroking house called Angel Broking, research was an acquisition strategy. By the early 2000s, it had research teams across over 100 branches, and at 8.30 every morning, they would hold a standing call with researchers across locations. The idea was that good research would bring customers through the door, and those customers would eventually transact.

But banks already had branches, customers and the ability to sell a three-in-one account combining banking, broking and demat services for investors to hold and manage securities electronically. For a standalone broker such as Angel One, competing meant building its own physical network.

That meant high-street branches, ground-floor real estate and local sales teams.

Then the internet changed the equation.

The shift to digital fundamentally altered the economics of the brokerage business. Instead of spending on branches, sales teams and research staff to bring customers in, the company could acquire them through its app and digital channels at a much lower cost.

Angel Broking began moving away from the branch-led model towards digital acquisition, eventually shutting its physical footprint and sales force. By the time it listed in 2020, the company was already making the transition, although investors were not yet convinced that a digital, flat-fee brokerage could work at scale.

As it expanded to include mutual funds, loans, insurance and wealth management, the company rebranded to Angel One in 2021 to reflect its broader digital financial services. These would all be eventually folded under one 'super app'.

The company went on to build a large digital customer base, more than doubling its customers from 4.12 million in March 2021 to 9.2 million by March 2022 without the branches and salespeople that had once been central to its business.

Today, however, the 30-year-old company is shrinking. It shed nearly 20% of its workforce through 2025-26, as per its latest annual report. According to current and former employees *Mint* spoke with, several senior executives have exited even as Ambarish Kenghe, who joined as group chief executive officer (CEO) in March 2025 from Google Pay, steers the company through another reset.

NAVIGATING CHANGE

Thakkar and Kenghe face a challenging environment, particularly in Angel One's core stockbroking business, as they lead the company's latest transformation into a digital-first full-stack financial platform. The economics of trading are changing, with regulatory intervention, softer derivatives activity and intensifying competition from discount broking rivals, including market leaders Groww and Zerodha.

"Last year, the broking industry lost about 40 lakh (4 million) active clients, about 8%, its steepest decline in a decade," said Eshaan Lazarus, founder and CEO, O21 Trade, a discount broking platform. "Even this financial year, active clients are declining by 1-2 lakh a month. No broker can take customer acquisition for granted."

Angel One was quick to take note. The company has been closing the gap with Zerodha as it doubles down on advisory and personalisation and uses its super app as a differentiator to extract more value from its customers. That is increasingly important as Groww and Zerodha have done better at monetizing their users beyond the core broking business, according to industry experts.

Angel One is also working on making its interface simpler and more user-friendly, an area where it has struggled in the past.

But the broader competition is moving faster. Macquarie Capital, in a 24 September report, said it expects Angel One's revenue to grow at 10% annually through FY30, below the 17-18% compound annual growth rate it estimates for the industry's

total addressable market. For Groww, it forecasts 25% revenue growth, driven by customer acquisition, cross-selling and expansion to new products.

THE OLD PLAYBOOK

For years, discount brokers could grow by doing two things: bringing more people into the market and getting them to trade more often. That playbook is getting harder to sustain.

Regulatory changes have hit one of the biggest engines of retail trading: derivatives. The Securities and Exchange Board of India (Sebi) has raised the minimum contract size for index derivatives, reduced weekly expiries to one per benchmark index per exchange, increased margin requirements around expiry and tightened position-limit rules. The government also raised the securities transaction tax on derivatives.

The changes were aimed at curbing excessive retail participation in equity derivatives as a majority of individual traders were losing money. Sebi's actions helped pare the aggregate losses of individual traders to ₹91,686 crore in FY26 from ₹1.12 trillion in the previous financial year.

But this had an expected bearing on trading activity. In FY26, the National Stock Exchange's equity futures and options, or equity derivatives, turnover declined even as the broader derivatives market grew. Cash-market turnover also moderated. For brokers such as Angel One, which built scale during the retail trading boom, fewer trades can mean fewer opportunities to earn transaction-linked revenue. Angel One is also facing a tougher competitive market.

Groww's NSE active-client base reached about 13.1 million in July, nearly double Angel One's 6.6 million. In commodities, Angel One in the first quarter of FY27 (April-June 2026) with an average daily turnover (ADTO) of ₹2.4 trillion against Angel One's ₹2.37 trillion.

EXTRACTING VALUE

Angel One does not see the regulatory changes and strong competition as a sign of a shrinking opportunity. "We are

mint
KEY
NUMBERS

10%

Macquarie's forecast for Angel One's FY26-30 revenue CAGR, versus 17-18% for the industry's total addressable market.

39.03 MILLION

Angel One's total client base in July, up 18.1% from a year earlier. Gross client additions, however, declined about 27%.

2,934

The number of permanent employees of Angel One in FY26, down from 3,823 a year earlier.

not buying for each other's customers," said Amit Majumdar, the company's chief strategy officer. About 70% of Angel One's customers, he said, are new to the capital markets, suggesting that the industry is still reaching first-time investors rather than merely fighting over existing traders.

But customer numbers tell only part of the story. The more revealing comparison is what these customers are generating.

In FY26, Angel One reported revenue of about ₹5,137 crore and net profit of ₹915 crore. Groww, despite having lower revenue of ₹4,644 crore, reported a much higher net profit of ₹2,083 crore. Zerodha remains further ahead on both measures, with about ₹8,800 crore in revenue and ₹4,283 crore in profit.

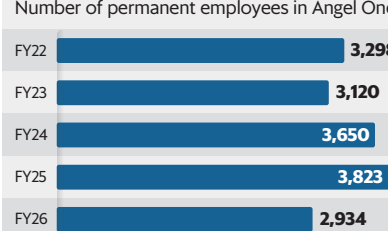
Angel One's own numbers show the gap between acquisition and engagement. Its total client base reached about 39.03 million in July, up 18.1% from a year earlier, but orders grew only 9.5%. Gross client additions, however, declined about 27%. Its average client funding book rose 39% to ₹7,081 crore. Vijay Laxmi A. Ambala, a Sebi-

Close race

India's discount brokers are navigating in a tough market

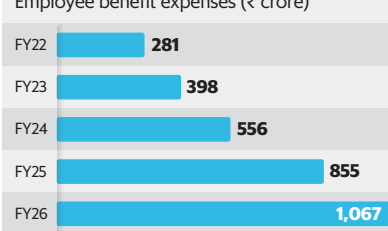
A leaner Angel One

Number of permanent employees in Angel One



Employee costs rise despite workforce cuts

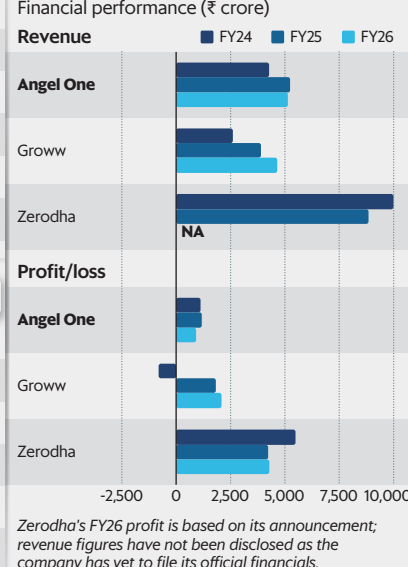
Employee benefit expenses (₹ crore)



Source: Annual reports

The changing fortunes of India's top brokers

Financial performance (₹ crore)



Source: Company filings, company announcements

MANU CHOUDHARY/MINT

ture with Livwell, a Singapore-based company that has developed digital insurance products. For Angel One, getting closer to the manufacturing side of insurance could also give it more control over the products offered to its customers.

The same logic is playing out in asset management. For much of its existence, Angel One's asset management company remained focused on passive products. That was partly because the company wanted to offer customers who were taking higher risks in equities and derivatives at least one relatively less-risky investment option.

But newer customers, Majumdar said, are increasingly looking beyond passive products and choosing funds based on performance. Angel One now plans to broaden its AMC strategy and could add more comprehensive products in the next one or two quarters, he said.

And it is packing all of this—broking, mutual funds, insurance, credit and other investment products—into a single super app. The bet, central to Angel One's strategy, is that keeping more of the customer's financial life within one interface will make cross-selling easier.

THE RESET

Angel One is also making significant changes to its cost structure and organization, according to the current and former employees who spoke with *Mint*. Functions including product, data and revenue went through significant restructuring last year.

The shift is visible in its permanent employee numbers, which fell to 2,934 in FY26 from 3,823 a year earlier.

The decline in headcount, however, did not mean a simple retreat on hiring. Employee benefit expenses continued to rise, suggesting the company was becoming more selective about the people and capabilities it was adding, including at senior levels, according to industry experts.

Angel One says the change was driven by a combination of natural attrition, selective rationalization and hiring in areas it sees as important for its next phase of growth.

"Importantly, this is not about reducing headcount as an objective. It is about continuously aligning the organisation with where the business is headed and improving productivity as we scale," Majumdar said.

Besides, the increasing use of artificial intelligence has reduced the time engineers and internal teams spend on tasks such as coding and analysing data.

"From inside what we are seeing is that the margin is expanding because customer acquisition has continued, [but] the platform does not need to add the same kind of cost that it was needing to add when it was getting evolved into a digital one," Majumdar said.

THE NEW ANGEL ONE

In its journey to becoming the market leader, Groww has shown how powerful simplicity can be in bringing first-time investors onto a platform. Angel One wants to bring that same simplicity to a much broader product universe. The challenge is that the more products Angel One adds, especially on one app, the harder that becomes.

"We want to get better at simplification from a UI (user interface) and UX (user experience) point of view," Majumdar said. Instead of showing every product to every customer, the company wants its app to learn from a customer's behaviour and personalise what they see when they log in.

Its recently launched Ask Angel is being developed to answer questions about portfolios and products as well to help customers navigate the platform.

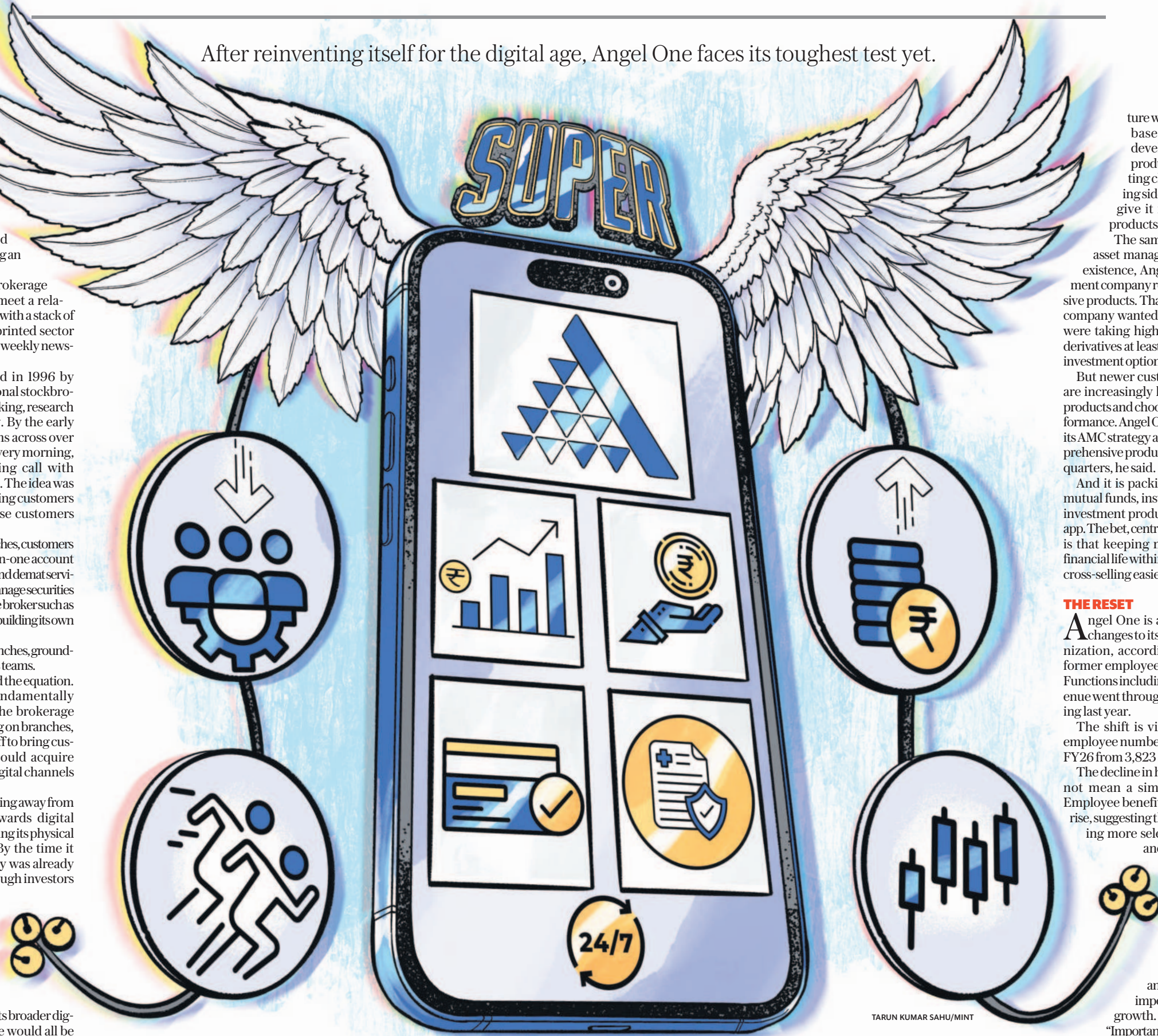
Angel One wants the complexity of a financial-services conglomerate to feel as

simple as a single app. But that may also be its biggest execution challenge. A customer who uses the Angel One app to trade may not use it for long-term savings or buying insurance, says O21 Trade's Lazarus. "Each business needs specific capabilities and time to build trust."

"Customers can easily access all sorts of financial products.

Ease of access is not what's holding them back. Handholding by a trusted intermediary is. A super app is not going to solve this issue," he said.

Building a super app means expanding into multiple businesses while ensuring that the customer never feels the complexity underneath. The restructuring is ultimately about building an organisation capable of doing that. Whether the transformation delivers is yet to be seen.



TARUN KUMAR SAHU/MINT



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Market slide: why fund managers are finding value in large-cap stocks

Fund managers see the correction as an opportunity to add rather than exit, with large caps offering relatively better valuations than smaller stocks

Jash Kriplani
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MUMBAI

If you are a new investor and have stayed invested in equities over the past two years, you may have little to show for it. The Nifty 50 is down about 13% over this period and is now 14.5% below its September 2024 peak. Over the past month alone, it has fallen 6.9%. Your mutual fund statements show the same. In the past month, large-cap funds lost 5.7% on average, mid-cap funds 6% and small-cap funds 3%. Over one and two years, large-cap funds are down about 4% and 7% on average as of 1 October 2026.

After the strong post-covid returns, many investors have been waiting for the rally to return. Instead, two years of flat-to-negative returns have left them fatigued, while the latest fall has added to the worry. Here's what fund managers say is driving the market, where they see value and what investors should do.

What is driving the correction

Fund managers cite four factors: higher global yields, rising crude, worries about the monsoon and continued selling by foreign portfolio investors (FPIs). "Crude is the more important fundamental factor, along with the concern that higher global yields could signal a turn in the interest-rate cycle," Neelesh Surana, CIO, Mirae Asset Investment Managers (India) said. Brent crude rose about 68% so far in 2026 and is trading at \$102 a barrel.

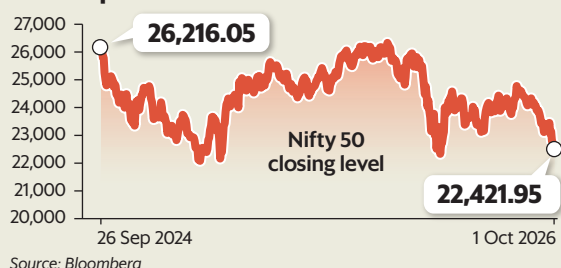
Shailesh Bhan, CIO-equity at Nippon India MF, said prolonged high crude price may make inflation and current account deficit challenges harder to manage.

The rupee also matters to foreign investors. "Foreign investors assess returns in their own currency. FCNR-B (foreign currency non-resident bank) inflows have helped stabilise the rupee to some extent, but crude moving above \$100 a barrel again could raise concerns about the cur-

What is weighing on markets

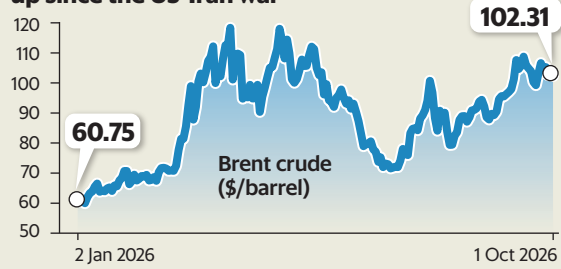
Rising crude prices, geopolitical tensions, higher bond yields and a rate-hike cycle have triggered a risk-off sentiment, say fund managers.

Nifty 50 has remained under pressure since September 2024



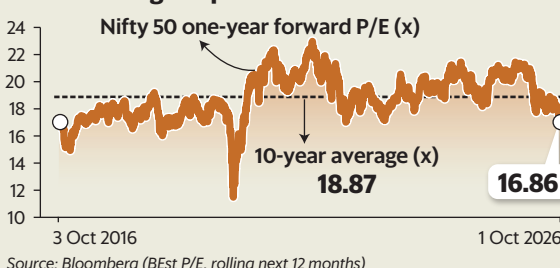
Source: Bloomberg

Brent crude prices have picked up since the US-Iran war



Source: Bloomberg

Fund managers say recent correction has made large-caps more attractive



Source: Bloomberg (Est P/E, rolling next 12 months)

What experts say

- ▶ Rise in crude prices pushing up inflation risks
- ▶ Expect more interest rate hikes to curb inflation
- ▶ Rate hike cycles typically push up bond yields
- ▶ The above combination has led to risk-off sentiment
- ▶ Advisors say long-term investors should ride out this volatility
- ▶ Instead of panicking, gradually add equities if overall asset allocation allows

mint

GOPAKUMAR WARRIER/MINT

rency if prices remain elevated," said Harsha Upadhyaya, chief investment officer at Kotak Mahindra AMC.

FPIs pulled out ₹35,861 crore (\$3.75 billion) from equities in September. In past two years, they have net sold close to \$60 billion worth of equities, National Securities Depository Ltd (NSDL) data shows.

Fund managers say domestic environment is healthy. "India's high-frequency indicators are holding up, and the earnings season should be reasonably steady," said Alok Singh, CIO at Bank of India MF.

Drop in valuations

Fund managers now find large caps

attractive following the fall in valuations. The Nifty 50 trades at about 17 times its one-year forward earnings, about 11% below its 10-year average of 18.9 times.

"Over roughly two years, the markets have corrected by 15%, while earnings growth over the same period has compressed price-to-earnings multiples for many stocks by about 30%," said Surana.

Upadhyaya said large caps look cheaper than smaller stocks. "Mid caps continue to deliver somewhat better earnings growth than large caps, and their valuations have come closer to long-term averages."

Large-cap earnings growth is catching

up. Large caps posted 17.6% year-on-year earnings growth in the June quarter, Upadhyaya said. Mid- and small-cap companies grew about 18-22% but trade at much higher valuations.

Singh said investors must look beyond headline P/E multiples and consider earnings growth. Price/earnings-to-growth (PEG) ratio can help assess valuations relative to expected earnings growth.

He also cautioned that headline index valuations can mislead.

The Nifty 50 Equal Weight index, which gives every stock the same weight, has not corrected as much as the Nifty 50.

IT stocks, for instance, may look attractive on historical multiples but are not necessarily cheap on a PEG basis, he said.

Sectoral outlook

Bhan sees information technology as a potential opportunity. Large IT services companies trade at 12-13 times earnings, with earnings yields of 7-8%, while expectations are low and currency conditions are favourable. He expects IT services companies to play a role as businesses seek to realise value from AI investments, though they will need to re-engineer their business models.

Fund managers are positive on financials. Singh expects banking to recover, supported by credit growth, while Bhan said large private banks look sensibly valued over a three-to-four-year horizon. He also sees value in insurance, some power utilities and consumer firms.

Insurance stocks have corrected sharply after the Insurance Regulatory and Development Authority of India proposed cuts to distribution commissions and cap on insurers' management expenses in a consultation paper on 23 September.

"Currently, the Indian market is very polarised. Sectors with good visibility on earnings are very expensive, making large upsides challenging. Sectors that are cheap have low visibility of good earnings growth," said Viraj Kulkarni, vice-president, equity at Bandhan AMC.

Fund managers also see opportunities in mid- and small-caps. Surana pointed to manufacturing and export-oriented businesses, which are less exposed to monsoon-related pressures, as well as parts of the capital markets ecosystem.

Kulkarni sees value in mega caps, large private banks, insurance and selected consumer companies.

Upadhyaya is positive on financial services, manufacturing, and pharma and

healthcare services.

Potential triggers

In the near term, fund managers are watching the second-quarter earnings season. "Commodity prices will put some pressure on profit margins, but if revenue growth holds and management commentary stays reasonable, that could support stability," said Surana.

Kulkarni said a reversal in oil prices would likely result in a tactical bounce, while a reversal in the AI narrative and significant easing in US yields could provide a more structural positive and trigger sustained FPI flows.

Upadhyaya expects the effect of a weak monsoon to show up only after two or three quarters and remain limited to certain sectors. He said India could see about two rate hikes in this cycle, but the adjustment should be manageable.

Takeaways

Fund managers advise against cutting equity exposure and instead suggest adding gradually. Bhan summed up the current setup as "bad news and good prices" for Indian stocks. He said risks like a major global event or disruption from AI should be managed at the asset-allocation level rather than within an equity portfolio.

"Investors need to be patient. Such cycles come in equity markets. If the money was invested in equities for the long term, stick with it. It becomes a problem only if you had put in money you need in the short term," said Surya Bhatia, financial adviser at Asset Managers.



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OUR VIEW



L'affaire Tata: RBI could explore other options

It's unclear if RBI can force corporate entities to list their shares. Many other ways exist for this regulator to secure the financial system's security without heavy-handed intervention

Regulatory pressure from the Reserve Bank of India (RBI) on Tata Sons, the holding company of the Tata Group of companies, to list its shares has opened up a can of worms. The central bank's directive to a company to take a particular corporate action has raised questions of regulatory jurisdiction, governance limits and the propriety of a monetary authority forcing an issue related to the equity market. What makes the RBI order even more controversial is that it comes two years after Tata Sons applied for de-registration as an upper-layer non-banking finance company (NBFC); in the meantime, RBI changed the rules of the game and is now insistent that the company goes public. Adding controversy to this messy situation is the fact that the central bank has not felt it necessary to clearly spell out its rationale compelling Tata Sons to pursue an initial public offering, especially since Tata Sons has paid down its outstanding debts.

The central bank's diktat is being viewed in several quarters as regulatory overreach for a number of reasons. First, it is unclear whether RBI can force a company to go public, especially when it is not a bank, a non-bank lender or an entity engaged in any manner of financial services as either a loan originator or distribution platform. Any decision to stay private or list its shares on stock exchanges, or even its choice of instruments for raising capital, lies exclusively with its shareholders; no third party can or should take that decision on their behalf. Any attempt to do so violates the natural order of a market-oriented economy. RBI's implicit logic that listing would engender transparency, leading to tighter regulation and better governance, does not stand scrutiny

under standard risk metrics or the test of real-world examples; many listed companies in India have gone bust due to poor governance or lax regulatory oversight. To be sure, a too-big-to-fail argument can be made for upper-layer NBFCs to be more transparent, but listing is not the only solution to that.

This is not to downplay RBI's role in maintaining financial stability in the economy, which has several conglomerates as significant actors. If RBI senses that there is even a sliver of risk in Tata Sons and its holding structure, the regulator can always spell out necessary guardrails for it; perhaps it can even nominate a director to the Tata Sons board for a closer line of sight into its operations, though this might need some enabling regulatory directives. Additionally, if the central bank senses mounting risks, it can act in two ways. Directly, it can tighten regulatory compliance norms for the entity; indirectly, it can even exercise risk mitigation through the financial sector, like it did for virtual digital assets. But forcing a company to go public remains an unconvincing solution for risk avoidance. In a recent public address, RBI Governor Sanjay Malhotra said financial stability required proactive regulation "while being proportionate." Pushing an entity, however large, to go public flies in the face of such a fair stance that balances systemic risks and the rights of shareholders. Indeed, RBI's energies may be better expended on a variety of risks that already dog the country's financial services sector: digital fraud, cybersecurity threats as AI evolves, lending exuberance among NBFCs, a growing overhang of unsecured retail credit and climate transition shocks, among others.



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Sons, the holding company of India's largest business group. There are brooding whippers of political influence behind it. A brand that Indians trust appears to be under attack from a brand with which Indians have a more complicated relationship.

On the surface, this is what appears to be going on. Noel Tata, the relatively new chairman of the group's charitable trusts, has lost control of Tata Sons' board, which, led by N. Chandrasekaran, has isolated him. There is division within Tata Trusts too. With this, the Trusts that have traditionally exercised control over the holding company are finding their authority challenged by the professional managers and directors, two of whom they themselves had appointed. Some people may say India's political dispensation had nothing to do with it, but I am yet to meet anyone who believes this.

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In contrast to this, the old-world charm and anglicized refinement of the Tata family may suggest that they might be culturally distant from India's ruling elite. But, an insider tells me, many rich Parsis are right-wing. And not just today. A prominent Parsi doyen funded the right long before it achieved power. "So that's not the issue here," says the insider.

Whether the politics had a role in the Tata coup is not as important as perceptions among some observers of political games being played in the background and of the Tata Group being yet another Indian institution whose independence is no longer guaranteed. Opposition leader Rahul Gandhi recently suggested that Tata Consultancy Services was pressured into doing something shady for the Election Commission of India's software systems.

The men on both sides of the Tata dispute claim high principles as the reason behind their actions. For instance, transparency is at the heart of one of the issues the group is

split over. Tata Sons, which owns stakes in many companies whose shares are publicly traded, is not listed. All Tata patriarchs wanted it that way. Including Ratan Tata. Chandrasekaran is also thought to have held this view until recently. The Reserve Bank of India wants a financial company of such significance to go public so that it meets higher norms of disclosure on its business affairs. But the Tatas never wanted it, chiefly because a listed company is under pressure to meet short-term financial objectives, while they wanted Tata Sons to think long term without being flustered by monetary upheavals. They also wanted to keep dividends flowing for charity. Noel Tata has repeated this.

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MY VIEW | THE INTERSECTION

Looking at the world through a cultural lens has gained traction

Heightened uncertainty may explain the rising role of culture in analysis of geopolitical behaviour



NITIN PAI is co-founder and director of The Takshashila Institution, an independent centre for research and education in public policy

The study of strategic culture to explain geopolitical behaviour has been controversial primarily because its critics argued that culture was mostly explanatory in retrospect, and in any case, less informative than calculations of realpolitik. Yet, culture itself has enjoyed a new prominence in public discourse over the past decade, with prominent commentators saying things such as "politics is downstream from culture." This is palpable to ordinary people. So it cannot be that culture only influences domestic politics and somehow stops at the water's edge.

One reason why cultural explanations get a bad rap is because some of their proponents offer them as cultural determinism: that only culture matters and explains everything. That's obviously not true. Political phenomena and decisions have multiple causes: in addition to culture, we can think of context, constraints, ideological preferences, electoral calculations, policy marksmanship, emergence and chance. The outcome is a complex product of a mix of many factors.

So culture plays a part, and that can change over time and circumstances. Broadly speaking, we could say that the global wave of liberal internationalism in the years following the fall of the Soviet Union in 1991 suppressed the cultural factors in world politics and economics. This is no longer the case:

the world's nationalists and conservatives are announcing this from their rooftops, podcasts, conferences and high political offices.

One reason for the resurgence of culture is that people go back to 'tried and tested truths' during times of uncertainty. They fight globalization's threat to their identity by reinforcing the culture they consider essential to their lives. Whatever be the reason, realists ought to pay serious attention to it.

If we ignore strategic culture, we are likely to accept that Russia's Vladimir Putin invaded Ukraine because he is an expansionist dictator with a big ego. Yet a study of Russian history suggests that for nearly eight centuries, Moscow has seen its defence in pushing its frontiers as far away from its centre as possible and preferred to have buffer states between itself and its most powerful adversaries. Even the Soviet construction of the Warsaw Pact, signed by countries separating it from Western Europe, can be seen as a form of the same old strategy. Ukraine's attempted embrace of the European Union risked eliminating a major post-Soviet buffer. This explanation is not to condone Putin's aggression against a sovereign state. Rather, it is to improve our understanding of world affairs so that we can make more informed choices.

Back in 2012, Yan Xuetong, one of China's foremost strategic thinkers, told me that ancient Chinese thought plays an important role in Beijing's decision-making. Indeed, any analysis of Chinese policies will be incomplete unless it considers the Middle Kingdom mindset. Chinese strategic culture sees the Han emperor as the only sovereign with a mandate from heaven, ruling over a world of kow-towing tributaries of various rank. In fact, in the 16th century, when envoys of European rulers started turning up at Chinese ports, they were put in prison if they insisted that their king was a sovereign equal of the Chinese emperor. Power is the idiom of politics between China and the world,

although outright warfare itself is a least preferred option. Chinese leader Xi Jinping's plans and even the visual design of the summits Beijing hosts are imperial in style, whatever Marx, Lenin or even Mao Zedong might have to say about emperors.

Islamic strategic culture sees the world divided into a transnational community of Muslims (the Ummah) whose only sovereign is Allah. Traditional jurists see the world divided between Dar-ul Islam, the realm of Islam, and Dar-ul Harb, the realm of war. An intermediate Dar-ul Sulh is recognized by some as a place where Muslims and non-Muslims can live together in peace.

What about India? Both the Arthashastra and Shanti Parva of the Mahabharata see the subcontinent as comprising multiple sovereigns, and a king's ambition is to master them all. I have argued that India's strategic culture—from the Mauryas through the Mughals and British raj to the Republic of India—has desired to unite the vast subcontinent under one rule. They could only do this by respecting diversity with pluralism; Kautilya's Arthashastra enjoins the victorious king to worship the gods of his new subjects as his own. The extent of unity and size of the state depend on the scope of pluralism that governs it. At the same time, Indian strategic culture was notoriously unmindful of forward defence. Khyber was mostly unwatched and invaders were met after they had crossed the Indus and reached the plains of Panipat.

Culture is socially transmitted information. It spreads geographically and changes over time, especially after encountering other cultures, technologies and ideologies. Like variants of biological species that thrive when the environment changes, some aspects of culture become more important in certain circumstances.

Cultural evolution has, *er*, evolved as a scientific discipline over the past two decades. Today, it offers insights for strategists and public policy analysts.

10 YEARS AGO



JUST A THOUGHT

The central bank needs to be able to make policy without short term political concerns.

BEN BERNANKE

MY VIEW | MODERN TIMES

The mystery of who is controlling the Tata boardroom

MANU JOSEPH



is a journalist, novelist and screenwriter. His latest book is 'Why the Poor Don't Kill Us.'

These days, if you have a billion dollars, you can say anything and people will think it is wisdom. Jack Ma, the co-founder of Chinese e-commerce giant Alibaba, used to talk a lot, and candidly, which is rare for an Asian billionaire. Less than two weeks before the giant initial public offering (IPO) of his financial company, Ant, he criticized China's financial regulators. Soon afterwards, the IPO was cancelled. Ma eventually lost control of the company. Alibaba itself came under investigation. Then, Ma disappeared for months. When he reappeared he was not so candid anymore. Beijing had sent a signal to all its billionaires and the world that the Communist Party ran the show and that private enterprise was not entirely private. "This is India's Alibaba moment," says a top executive who works closely with Noel Tata, chairman of the Tata Trusts that have a 66% stake in Tata Sons.

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| MY VIEW | GENERAL DISEQUILIBRIUM

How India's electoral democracy must look back to move forward

Constituent Assembly debates that settled on universal adult franchise need a revisit at a time of electoral roll revision anxiety



RAJRISHI SINGHAL
is a senior journalist and author of 'Slip, Stitch and Stumble: The Untold Story of India's Financial Sector Reforms' @rajrishisinghal

Recent revelations about the inner workings of the Election Commission of India (ECI) have exposed an asymmetric and undemocratic working relationship between the three election commissioners. This comes on top of widespread disenchantment with the commission's special intensive revision (SIR) of electoral rolls in which over 130 million people risk losing their franchise. These recent events have not only stoked anxiety over the commission's motives but also fostered grave concerns over the future of Indian democracy and democratic institutions.

In the midst of all the intersecting commentary, it might be instructive to revisit India's founding debates about adult franchise, the ECI, its commissioner and a 1995 Supreme Court judgement on the shared responsibilities of the three election commissioners. These milestones from our post-independence history should continue to serve as beacons when hope is turning into despair. At a time when the SIR exercise is colliding with Article 326 of the Constitution, which states that elections to the Lok Sabha and state assemblies must be on the basis of "adult suffrage," it might make sense to see the conditions under which this fundamental right was forged.

The founding fathers, early in the independence struggle, were resolute in their belief that true freedom would be meaningful only by arming every citizen with a vote. This found legal expression through the Constituent Assembly debates, set up to draft independent India's constitution. Here is a flashback from one of its meetings on 29 April 1947. President Rajendra Prasad was presiding. Sardar Vallabhbhai Patel placed the *Interim Report of the Advisory Committee on the Subject of Fundamental Rights* before members. The report asked for investing every Indian citizen above the age of 21 (brought down to 18 in 1988) with the right to vote. This right then became immutable and non-negotiable at this early stage of the proceedings.

Not every Assembly member was sold on the idea. Fast forward to 16 June 1949; Rajendra Prasad was again in the chair. The drafting committee chairman B.R. Ambedkar was also in the House. Brajeshwar Prasad, a law graduate elected to the Constituent Assembly from Bihar, stood up in opposition: "I am opposed to adult franchise... because it is a gross violation of the tenets of democracy. Adult franchise presupposes that the electorate is enlightened. Where the electorate is not enlightened, there cannot be parliamentary democracy."

Many other representatives from higher caste groups had been opposed to the principle of one-person-one-vote. This loose-knit coalition had also been implying that the eligibility norms should



remain unchanged from The Government of India Act of 1935, large chunks of which had already found their way into the draft constitution. The colonial-era 1935 Act had granted only limited franchise, mainly to those who paid taxes, had cleared matriculation exams or owned property, thus restricting eligible Indian voters to only 20-25% of India's population. In the words of Brajeshwar Prasad: "I fear that a House elected on the basis of adult suffrage will consist mostly of persons who are illiterate, and raw." He had the support of other enlightened members, such as Hriday Nath Kunzru, K.T. Shah (who also advocated a presidential form of government) and Frank Anthony. Even Thakur Das Bhargava, educated at Lahore's Law College and Kolkata's Presidency College, actively argued for limiting voting rights to only the literate for the first 10 years.

All these attempts at resisting India's progression from a subjugated colony to a fully-functional democracy, largely from members belonging to privileged classes, hit a wall because of overwhelming support for universal adult franchise from day one. It had become an inviolable sacrament of faith and the leadership was determined not to entertain any dissent.

Jump-cut to SIR today and it may be tempting to view the exercise as a modern, morphed version of similar privileged gate-keeping; while that conclusion may be a bit premature, there is no denying that SIR remains exclusionary and antagonistic to Article 326.

Members of the Constituent Assembly were also clear-eyed that, logically, the fundamental right of universal adult franchise could only be met through the agency of an independent election commission, insulated from the executive's influ-

ence. The members strove to invest this body with sufficient autonomy to enable free and fair elections. Initially, the central and state election commissions were to be instituted as separate entities, but this was later changed to a centralized structure on account of apprehensions that state or regional commissions may be disinclined to treat "non-natives" fairly.

There were also early attempts to clip the commission's powers; for example, there were proposals that the right to disqualify an election candidate should vest with either the governor of a state or the speaker of the relevant house. This was also quickly shot down.

The task of strengthening the election process and the ECI's working continued over the years. A critical inflection point came in 1993, when two more election commissioners were appointed—on terms at par with the chief election commissioner. This was challenged, but the Supreme Court in 1995 held that while the chief acts like a chairman, all three commissioners are equal in status and decisions should be by consensus—or, if that fails, by majority vote. Recent exposés suggest that there could have been attempts to subvert the established process.

India's first election, held between October 1951 and February 1952, managed to enrol 173 million voters, a stupendous task. The ECI since then, under the leadership of various commissioners, has been in mission mode to ensure maximum participation in various elections and the number of registered voters reached 970 million by the 2024 general elections. Ironically, the current SIR exercise—riddled with glaring procedural lapses—seems determined to reverse gains made over the past 80 years.

MINT CURATOR

Polymarket hopes to win over Europe: the odds of it are slim

Regulators are unlikely to view it as just another trading platform



LIONEL LAURENT
is a Bloomberg Opinion columnist writing about the future of money and the future of Europe.

Head to Polymarket's US website and you will be greeted with crystal-ball trades on everything from the mid-term elections to the likelihood of a fully reopened Strait of Hormuz. Try that in France, and you will see something very different: Sober black-on-white text under the words, "Illegal website."

That's because in France and other European countries, regulators see prediction markets run by Polymarket and its rival Kalshi as unregulated gambling that dodges the safeguards and oversight of licensed platforms. They also fret, justifiably, about the harm to people from losing money on an addictive, easily manipulated 24x7 market.

In April, big bets on the temperature in Paris coincided with suspected weather sensor-tampering at the country's largest airport. By July, France blocked Polymarket's site and teamed up with other national watchdogs to warn against prediction markets. The US company is contesting the ban.

This may sound familiar, given Brazil's crackdown on these sites and New York's recent lawsuit accusing Polymarket of illegal gambling. But the firm is betting on a new path to regulatory acceptance in Europe by going around gambling watchdogs and engaging directly with financial supervisors from the Paris-based European Securities Markets Authority (ESMA) and the UK Financial Conduct Authority.

The idea is to convince them that this is a derivatives market, not a gambling one, and should be regulated as such rather than banned. This would mirror its US setup, where prediction markets are overseen federally by the Commodity Futures Trading Commission—even as American states argue that these are sports-betting sites and should fall under their purview.

This is a bold wager. Polymarket has the cash and lobbying heft to get its foot in the door after a \$1 billion funding round led by Donald Trump Jr.'s venture-capital firm. It may sway some technocrats by pointing to financial-market bets on its platform where the underlying market is regulated, such as currencies or commodities. ESMA already regulates so-called binary options—a derivative that pays out if a yes-or-no outcome is met. And it has floated the idea that some prediction-market contracts fit this category.

Neal Kumar, Polymarket's chief legal officer, says his business wants "a regulated pathway in Europe for this new asset class." The firm also sent me poll results from a London firm that found 90% of finance professionals reckoned prediction-market data could inform their trading decisions.



Binary bets on future events are usually plain and simple gambles. REUTERS

Still, one hopes regulators will think hard before accepting what looks like the thin end of a fat wedge. Even before Polymarket and Kalshi, binary options have blurred the lines between investing and betting because of their coin-toss, speculative nature. Most folks lose money on them and they are still deemed too risky for retail investors in the European Union (EU). In Britain, they were once labelled gambling products.

Opening the door to more of these via Polymarket feels like an unnecessary step into the unknown. ESMA's approval could be misinterpreted as a green light for the company and its industry, even if it covered only a narrow subset of what's out there.

As for the argument about treating sports predictions as a derivatives market, good luck with winning that debate in Europe. Sports bets, which account for 80% of prediction markets' onshore activity, don't fit the financial-supervision mould. Their oversight is also better established in Europe than in the US.

As for the racier trades, from wagering on declarations of war or Christ's second coming, no number of claims of "informational value" will be fully persuasive. This stuff can create incentives for corrupt, illegal or dangerous actions to rig the outcome, as a recent paper co-authored by Bocconi University's Luis Enriques explains.

But France-style bans are not the last word. It's hard to get the EU's 27 members to agree on regulation. Malta has gone it alone on crypto rules to bring in the industry's money. And in a world where every few years brings a new form of casino finance, it's worth sketching out workable regulation besides prohibition. Jackson Guttenplan, a Bloomberg Intelligence analyst, says one endpoint for prediction markets could be strictly regulating trades around politics, climate or corporate events.

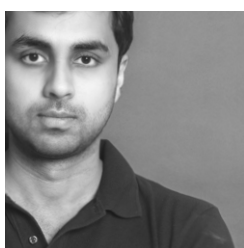
But that's a long-term challenge that doesn't address the central issue today: that Polymarket [activity] still looks more like gambling than investing. The problem is both the speculative element and that the deck is stacked against the consumer, a former senior regulatory official tells me.

Country bans create their own difficulties and loopholes, but it still looks like the riskier punt would be rushing to give this market a regulatory blessing. Supervisory dice rolls can wait. ©BLOOMBERG

| THEIR VIEW

Why India shouldn't bet on acquiring the entire AI stack

VIVAN SHARAN



is a policy expert at Koan Advisory Group.

The global artificial intelligence (AI) race has heightened economic and job market anxieties in India. And rightly so. While some industries may grow and create jobs as a result of AI diffusion, it's now clear that not all will win. Recent Reserve Bank of India (RBI) data shows that India's software-product exports are shrinking while its information technology (IT) services are not. Exports of software products declined by about 6% in 2025-26 over the previous fiscal year, while IT service exports grew by almost 12%.

The question for India is: where to place its bets? The complexity of the AI stack makes this harder. Policymakers must think simultaneously about chips, data centres, AI models, applications and the industries that will use them. The US and China account for 75% of AI firms valued at more than \$50 million and also have the most diversified AI industries. A correlation between diverse AI ecosystems and market value may seem a reason to increase AI

stack presence using policy levers.

But India is far from the AI frontier. Perhaps the best way to think about an enduring comparative advantage, oxymoronic as the concept may be today, is to consider existing rather than future capability as a starting point. From this perspective, national spending on subsidizing AI infrastructure, through graphic processing units (GPUs) or otherwise, will not create meaningful capability; but focusing on the knowledge and IT layer might. Data centres, for example, are highly vulnerable and reliant on the types of chips on offer, and don't substitute for manufacturing capability at the frontier. G42, one of the biggest data centre companies of the UAE, decided to drop Chinese hardware in 2024 rather than face a ban on the use of American chips. This showed the dependence of data centres on elusive semiconductor technology. Also, promising large language model (LLM) companies like Sarvam recognize the need to scale up continually to keep up with an advancing frontier. Google Deepmind research shows that pushing the frontier requires ever-larger training datasets and compute power for post-training inference. Not to mention the costs of developing this technology safely.

In other words, data centre capacity and

resource-constrained LLM development do not determine AI capability. However, the use of AI to reinforce comparative advantages in knowledge services like consulting and finance, with IT at the core, may just prove to be. This will be especially so if the world remains reliant on humans to support humans and transform ideas into execution. Handholding is what India excels at. For instance, armies of accountants are on call for personalized services to micro, small and medium enterprises (MSMEs) like mine, and are likely to remain in demand despite multinational competitors.

But if knowledge services are where India's comparative advantage lies, policymakers need to recognize the real resource trade-offs involved in reinforcing it. Instead of spending limited resources on subsidizing access to chips, India should support services. Besides, anecdotal evidence shows many of India's 38,000-odd subsidized GPUs are busy servicing global demand, since there

simply isn't enough domestic usage and local users are asking for hefty discounts *vis-à-vis* hyper-scalers.

The complexity of AI shouldn't overwhelm policymakers. What they can be certain of is that the challenges of competitiveness and job creation can be addressed by

building on India's existing services capability stack. Radical direct tax exemptions for small firms that absorb and skill new knowledge workers could be a useful place to begin.

Today's knowledge-service firms like mine are increasingly in a bind about whether to hire new talent or unleash AI's efficiencies in their business. But this needn't be a binary choice if we have the requisite abundance and incentives

to do both. And there is no better way to achieve this than higher cash flow. India needs a fresh wave of services growth, fuelled by a combination of AI and new talent with high-levels of exposure to global markets.

For instance, India would do well to antici-

We'd be better off focusing on maximizing value where we can instead of spreading resources thin



Office work is a big pain in the back

India Inc. is investing more in employee health, yet long hours and sedentary work continue to take a toll on workers' well-being

Shrenik Avlani

Earlier this year, Puja M., 35, a marketing professional, developed a back problem so severe that she was bedridden for five months. She had been spending at least 10 hours a day in front of her office laptop. "I thought it was just a spasm. But years of working on a laptop and poor posture had caused my spine to become unnaturally straight," says the Delhi resident. After months of bed rest and excruciating physiotherapy, which was not covered by her medical insurance, she is now able to move again and has returned to work.

In Mumbai, Jayesh Kumar, 33, had trouble working for a week last month because of debilitating neck pain. "The spasm was so severe that I even had trouble lying down," recalls the IT professional.

Chances are that at least one person on your team has complained of back, neck or shoulder pain. According to meta-analyses of studies conducted in India published in the *Journal of Occupational Health* in January 2024, work-related musculoskeletal disorders have emerged in recent years as a significant workplace health issue. Lower-back pain was reported by 60% of employees, followed by neck pain (40%) and shoulder pain (36%), says Kulin Shah, co-founder and chief operating officer of Onsurety, an employee healthcare and benefits platform serving start-ups and small businesses in India.

This is in line with the global rise in the burden of low-back pain, which was exacerbated by changes in work and daily routines during covid-19, according to the Global Burden of Disease study published in *The Lancet* in 2023.

India's office economy has powered growth and prosperity. But for millions of workers, the price of desk-bound work is increasingly being paid in pain. India Inc.'s offices are emerging as important sites of work-related health problems, even as greater attention to employee welfare has made factories safer. Back, neck and shoulder pain and stiffness—symptoms commonly associated with musculoskeletal disorders—are affecting office workers across sectors. In India, acute and chronic illnesses can cost employers up to 30 days of productivity per employee each year, according to the Employee Health Report 2025, compiled by Plum Insurance, an India-based employee health benefits platform. "When employees spend more than 30 days a year managing health challenges, companies forfeit up to ₹5 lakh per employee in lost productivity," says Sakrabh Arora, chief technology officer and co-founder of Plum.

Orthopaedics is the fifth-largest category by percentage for which employees book telehealth consultations on Plum, says Arora.

Of those orthopaedic consultations, a third relate to back and spine issues—conditions associated with poor posture and prolonged sitting.

A 24X7 SCHEDULE

While Puja attributes her back problem to poor office furniture, Jayesh believes his injury was



caused by long hours and an unhealthy work culture. Data from Onsurety suggests that work-related musculoskeletal problems are more commonly associated with prolonged sitting, poor ergonomics and repetitive work than with traumatic injuries.

"Among corporate employees, especially those with desk jobs, the injuries are primarily chronic in nature due to a combination of poor equipment ergonomics and prolonged work hours," explains Rahul Gupta, senior director for neurosurgery and head of the department for neuro and spine surgery at Fortis Hospital, Noida.

Several factors stack up against the body over time—sitting for too long, staying in the same position for extended periods, the repetitive use of a keyboard and mouse, poorly designed workstations, not getting up and moving enough, and generally poor physical conditioning. "Stress, heavy workloads and feeling like you have little say over how your day runs can make things worse too," says Navita Purohit Vyas, chief of pain and palliative medicine at Kokilaben Dhirubhai Ambani Hospital, Mumbai.

Long hours hunched over computers and phones, working days that stretch late into the evening, and little time for movement have become a familiar part of office life. Sedentary lifestyles, prolonged sitting and limited physical activity—all compounded by long working hours—are risk factors for musculoskeletal problems. The pressure to work longer hours can leave little time, or even motivation, for exercise, healthcare and relationships outside work. With repeated calls for 70-hour work weeks as a route to success, this tension between work and wellbeing is becoming harder to ignore.

Plum's survey published in 2025 covered working professionals across the country and found that 35% of India Inc. employees do not exercise because they lack the time, while 30% say time constraints are the biggest barrier to accessing quality mental healthcare. Another 35% say lack of time affects their relationships outside work.

"India's average working week is 46 hours, roughly 10 hours more than the US, UK, Germany, France, Japan, or Australia. That's before accounting for commutes... 52% of employees spend over an hour travelling to work every day, which effectively turns a 48-hour work week into a 53-hour week," adds Arora.

Zoom, Teams and Meet have brought flexibility to office life, but they have also blurred the boundaries of the working day, making employees available for calls well beyond office hours.

"Organisations need to put working arrangements in place to ensure employees are not required to work beyond a certain time of day or for more than a certain number of hours," says Thanuja Lakshmikanth, a senior HR professional in Bengaluru.

WHEN WELLNESS STAYS AT WORK

Office design, layouts and furniture, as well as the focus on employee health, have improved significantly over the past decade, particularly since the pandemic. Today, many organisations allow employees to choose their chairs and opt for standing or sitting desks, says Lakshmikanth.

But not every chair marketed as ergonomic necessarily offers adequate support, warns Arora. "A truly ergonomic chair starts at around ₹50,000. How many organisations can afford, or are willing, to pay that much per employee?"

While employee health insurance is not man-

datory for all businesses, it has increasingly become a standard workplace benefit. Companies of varying sizes now point to insurance, regular health camps, on-site doctors, telemedicine support and healthier food options in canteens as part of their employee health and welfare initiatives. Some also organise group treks and hikes, on-site yoga and fitness classes, while others reimburse travel and registration costs for employees participating in fitness events such as long-distance races.

Yet many of these initiatives still keep employees within the orbit of the workplace, rather than giving them time and space to truly switch off. And participation often comes with an implicit caveat: these activities cannot come at the expense of calls, meetings or work.

The annual sports day at many companies in India tends to revolve around cricket, which may explain its popularity. But the "health initiative" comes just once a year. At a time when sedentary lifestyles and long working hours are associated with back, neck and shoulder problems, what is needed is a sustained health initiative that encourages employees to stay active and helps restore some balance between work and life, says Lakshmikanth.

The cost of being desk-, laptop- or phone-bound is not limited to a sore back or stiff neck. Left unchecked, physical inactivity can become part of a larger cycle, affecting energy, productivity and mental wellbeing. "There's only one way this story goes: a cycle that reinforces itself over time, where a sedentary job leads to physical inactivity, which contributes to musculoskeletal problems, chronic pain and fatigue, all of which can feed into mental distress," says Arora. "The longer this continues, the harder it becomes to break the cycle."

Shrenik Avlani is an independent writer and editor.

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MONDAY MOTIVATION

'Productivity needs intent, not just structure'

Savills India's Kaushik Chakraborty on daily habits and leading with purpose

Shail Desai

While still in college, Kaushik Chakraborty realised that he thrived on the energy of others. It's what helped him gravitate towards a career in human resources in the years ahead.

"My early career journey moved through sales, franchising, banking and program management. Each role brought me closer to understanding what really fulfilled me. In many ways, human resources wasn't just a career choice. It was a space where I felt most aligned with my purpose of connecting deeply with people," says Gurugram-based Chakraborty, 51, chief people officer, Savills India.

He joined the real estate advisory firm back in 2018 at a time when it was still establishing its presence in India. Creating an ecosystem from scratch, drawing talent and building trust were just some of the early challenges that he encountered.

Chakraborty talks to *Mint* about mentorship and why he enjoys observing people. Edited excerpts:

Who do you consider your mentor?

I've been fortunate to learn from several personal coaches and spiritual teachers who helped me see life beyond my visiting card. Some individuals who have had a profound impact include Sri Sri Ravi Shankar, Nithya Shanti, Arjun Som and Sujith Ravindran.

An insight you worked on with your mentor's guidance?

Achieving balance in life, grounded in resilience. It is about fulfilling responsibilities—as a professional and as a householder—with integrity, while remaining steady through challenges. That balance has been invaluable in navigating both personal and professional journeys.

What does being a mentor mean to you?

Mentoring is at the core of leadership today. People are not just looking for direction at work; they are often looking for clarity in life. A leader has a responsibility to go beyond transactional interactions and build genuine, heart-to-heart connections.

Productivity principles you follow?

I wouldn't describe myself as extremely structured. But one thing that has worked consistently for me is being disciplined about my calendar. When your calendar has clarity, it helps you focus, prioritise and compartmentalise effectively. Productivity is less about structure and more about intentionality.

How do you unwind?

The best way to unwind is spending time with family. I haven't missed my Friday evening date with my wife in 23 years of marriage. That ritual grounds me every week. I also deeply value observing and spending time with my daughters. I enjoy long walks and observing people. What I enjoy is constantly experimenting with life. I have acted in a movie and recently was part of a documentary.

Monday Motivation is a series in which business leaders discuss their mentors and their work ethics.

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The Gen Z employees who want gentle feedback

Bosses are turning to bots, consultants to give younger workers the more helpful direction they say they crave

Ray A. Smith

Bosses are getting no shortage of feedback on how to give their youngest staffers...well, feedback: Do ask how they are doing first. Don't criticize a personality trait. Do give them concrete direction, and a lot of it.

And whatever you do, call a performance discussion a check-in, not a review.

The oldest members of Gen Z are about to turn 30, yet companies are devoting more time and resources than ever to figuring out how to give this manager-befuddling generation better direction. For help, they are turning to a cottage industry of multigeneration-workplace consultants and even artificial-intelligence bots, while ripping up the script for what used to be once-a-year evaluations.

All of it is a departure for leaders who rose through the ranks in an era devoid of so much thought to effective coaching and

criticism. "When I started my first job, I got a performance review a year later, and that was just expected," said Adam Coyne, chief administrative officer at research and analytics firm Mathematica, which has shifted from annual reviews to quarterly, two-way check-ins for new junior hires.

"This is a group that wants a lot more real-time feedback," added Coyne, 55.

It is a message managers say they are getting nonstop from surveys and all-hands meetings, not to mention the universities and colleges preparing graduates for the white-collar world of work: Used to the immediate validation of social-media likes and comments, even instantly posted grades, this generation of workers craves clear, frequent direction—and they feel disoriented and anxious when they don't get it.

Gallup data suggest companies are still struggling to get the hang of it. Younger workers report some of the biggest drops in engagement at work over the past five years. Not knowing where they stand appears to be a big factor. The share of Gen Z and younger millennials who strongly agreed with the statement, "I know what is expected of me at work," fell 9 points to 42% in surveys between 2020 and 2025.

That doesn't mean they need the effu-



sive praise that many managers claim they do, some 20-something workers say. "I personally dislike this style," said Nathan Luckock, a 20-year-old engineer at an AI startup. More effective, he said, is just "pointing out mistakes and then offering a solution."

That sounds familiar to Lindsey Pollak, a multigenerational workforce expert and executive coach, who says she coaches bosses to be as specific as possible. Instead of "be more responsive," for instance, she

suggests "need to hear from you within an hour of receiving an instruction."

At Mathematica, chief executive Paul Decker said the firm switched to more frequent check-ins in part because so many new entry-level hires were peppering supervisors with questions like: "How am I doing?" and "What does the next level require?" At staff meetings, younger workers often questioned why things were done the way they had always been done.

That included things like "waiting months to learn whether you're meeting expectations," he said.

KPMG executives said they, too, began giving their younger workers more frequent assessments on skills like critical thinking and adaptability last year after interns said they wanted to hear more often how their skills were coming along. The firm wanted to "make sure that we scratch the itch," said Jason LaRue, vice chair of talent and culture at KPMG's U.S. practice.

Some managers are getting feedback on giving feedback from bots.

Joe Hirsch, a corporate speaker and author of *The Feedback Fix*, recently used an AI coaching platform to work with a tech-company manager on her delivery. She had been frustrated that one of her junior reports wasn't grasping her pointers on pitching clients, so she role-played the conversation with the AI coach.

The problem, the bot advised, was that she wasn't giving the employee enough context for why she wanted things done a certain way. "Let's connect so I can share more about our approach and get your take on it," it suggested she say.

That did the trick when she tried the approach in real life. "The advice finally landed," Hirsch said.

Even a few, clear bullet points work, said Valerie Chapman, the 27-year-old founder and CEO of Ruth AI, a career

strategist platform for women. "My generation likes to get feedback so that they know how they should adjust."

She recalls getting bullet-pointed direction when she worked as a strategic growth partner at real-estate company Compass a few years ago. The feedback started with praise before offering pointers.

"It would be, 'Great job. Here are some things that you could do next week,'" she said. "If that comes in on a Friday, then my Gen Z brain knows exactly what I need to do on a Monday."

Mike Ekboundt, director of GE Appliances' engineering programs, said he has tried to make performance discussions with younger workers in rotational programs two-way dialogues rather than top-down critiques. So he revised online evaluations to include prompts for managers to ask questions like "Did you like the assignment leader?" and "Was it too much work?"

Managers are also asked to assess the program participants on nine different categories, like innovation and resilience, while employees are prompted to list their top strengths and weaknesses.

"I need high customer satisfaction to retain this highly sought-after talent, and this is part of how I get it," he said.

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